

MIDLANDS STATE UNIVERSITY



**IMPACT OF OUTSOURCING PROCESSES ON CORPORATE
PERFORMANCE: THE CASE OF CONSTRUCTION INDUSTRY IN
HARARE, ZIMBABWE**

Dissertation Submitted

By:

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DEDICATION

I dedicate this research to my beloved for their untiring support, corporation and assistance while conducting the study. Mostly to our great creator, our Almighty God the author of knowledge and wisdom who made this possible.

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ABSTRACT

The construction companies have been facing notable challenges associated with high operating costs, management and monitoring issues, large wage bill, bloated structures, failure to concentrate on the core function and mandate of the business, lack of skills set, declining revenues, loss of market share and quality issues. This has led to most organisations reduce workforce, downsize operations, or re-evaluate and reprioritize through restructuring and paying more attention to their core competencies. This enabled firms to realise that not all of the business operations can be provided internally and therefore have to resort to outsourcing. The study focused on the impact of outsourcing on corporate performance in the construction industry. The different strategies that the study evaluated include strategic outsourcing, transformational outsourcing and tactical outsourcing which were evaluated against the performance of the construction companies. The study incorporated the Transaction Cost Theory and the Resource Based View Theory in the literature review. The study target population was construction companies and a total of 8 were incorporated in the study. The study made use of both primary and secondary data, which included questionnaires and interviews to collect primary data. The study made sure that the respondents were not harmed in any way by incorporating all aspects of ethical considerations. The study found out that strategic outsourcing has an impact on corporate performance. The study concludes that construction companies should adopt strategic outsourcing, transformational and tactical outsourcing as it has proved that they have positive impact on corporate performance. The study recommends that implementation of outsourcing decisions is key in construction industry depending on the objectives whether short term or long-term. All the outsourcing decisions discussed in the study have shown that they have positive impact on corporate performance which leads to sustainability, profitability and growth of the business which may be source of competitive advantage.

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CHAPTER I

GENERAL INTRODUCTION

1.1 Introduction

The Zimbabwe economy in general has been described as uncompetitive, particularly the manufacturing sector due to a number of factors such as high cost of utilities, poor infrastructure network, antiquated machinery, unfavourable business environment among other factors. As a result, many manufacturing companies have adopted strategies to cut costs that include toll manufacturing and outsourcing key activities both locally and offshore. The benefits from these strategic initiatives have however become complicated given the deteriorating and very unique operating environment characterized by foreign currency shortages, company closures, liquidity shortages, policy inconsistencies among others here in Zimbabwe.

This study sought to investigate empirically whether outsourcing improves corporate performance with particular focus to the strategies that the contraction companies can use such as strategic outsourcing, transformational outsourcing and tactical outsourcing. The chapter focuses on the background of the study, statement of the problem, research objectives and questions, significance of the study, assumptions, delimitation, limitations and definition of key terms of the study.

1.2 Background to the study

The construction sector has not been left out in the doldrums as it has been not spared the deepening economic crisis characterized by a debilitating liquidity crunch, foreign currency shortages, runaway inflation and massive power cuts which at times lasts up to 18 hours daily. The introduction of the Statutory Instrument (SI) 142 of 2019, which banned the use of the multicurrency regime and made the Zimbabwean dollar the sole legal tender, has worsened the problems bedeviling the sector (Zimbabwe Independent, 2019). According to the BMIs infrastructure key projects database, Zimbabwe has \$21 billion worth of projects in the pipeline, thus at least 67% of the amount is to be channeled towards power plants and transmission grids development, 25% to road and bridges and 3% to water and industrial projects. However these projects to be viable there is

need of more electricity production and up to standard construction companies, thus the use of independent power producers and construction companies is crucial in delivering projects in a timely manner (Nyoni, 2018).

The current Zimbabwean economy is facing a plethora of challenges hence most organisations have been forced to reduce workforce, downsize their operations, or re-evaluate and reprioritize through restructuring and paying more attention to their core competencies. This enabled firms to release that not all of the business operations can be provided internally and therefore have to resort to outsourcing. The construction companies have been facing problems and some of these notable challenges are associated with high operating costs, management and monitoring issues, a large wage bill, bloated structures, failure to concentrate on the core function and mandate of the business, lack of skills set, declining revenues, loss of market share and quality issues. In the county companies have begun to look at various corporate level strategies to help curb the challenges being faced. Nyameboame and Haddud (2017) indicated that in order to survive and remain efficient, they must adopt strategies and capabilities to help them gain a competitive advantage over their competitors.

The Zimbabwean construction industry continues to occupy an important position in the nation's economy, however there are some inefficiencies that the foreign investors are thinking otherwise before they engage a local construction firm. A major criticism facing the Zimbabwean construction industry is the growing rate of construction delays in project delivery and incapacitation in finishing the construction projects (Shiri, 2015). This is due to the fact that the construction industry is in housing all the operations that are done on the project and hence sometimes leading to incapacitation or running out of capital to do the critical activities on the critical path of the project. A similar delay in the construction projects in Zimbabwe has been witnessed on the Beit-Bridge–Harare road dualisation project. This has led the government to only prioritize signing multi-million dollar deals tied to specific timelines which is subject to proof of funding so as to avoid costly delays to key projects (Sibanda, 2018).

Again, inadequate laws that govern the construction industry, low barriers to entry in the industry which has resulted in saturation in the marketplace with heavy competition, especially from foreign competitors has resulted in the shrinking profit margins and constrained re-investment in new technology and better business practices (Mlanga, 2018). Construction companies have found

themselves trapped between shrinking profits and stagnant production, meaning that companies in the sector are unable to generate necessary profits to invest in critical new technologies and processes. As such, operating under such razor-thin margins means a single production surprise can wipe out profits for companies in the sector. What is compounding the problem in the sector mostly is labour productivity, which has been stagnant. Direct labour time has been in most cases spent waiting for materials and equipment, leading to lack of productivity. There is also a crunch in skills trades, due to the worsening macroeconomic situation in the country which has driven many skilled craftsmen to leave the industry. The local players have also been found with absolute plant and equipment which have seen them facing major competition from foreign contractors (The Business Times, 2018).

According to the recent Deloitte Consulting report (2016), many organizations in the construction industry have realized that the most effective service delivery model combines in-house and contacted services. Outsourcing has succeeded because of its ability to reduce risk, drive standardization, increase productivity and improved reliability. Outsourcing processes in the Zimbabwe construction industry are more likely to work since the majority of them are still smaller, they do not always have all the professional in-house that they need to complete the project. Instead these smaller construction companies not to concentrate in all the requirements of the project, they have to also depend on outsourced work to fill in procedural gaps. Collaborating with a 3rd party is a great way to enhance the team's capabilities, thus this study evaluated the impact of different outsourcing strategies that can be used by the construction companies on their performance. The study evaluated the impact of these outsourcing strategies if they are worthwhile investing in.

Outsourcing processes has been a common practice of contracting out business functions and processes to 3rd party providers. Outsourcing has come with many reasons why businesses may choose to outsource a particular task, thus outsourcing improves the focus on the company's core business activities that is it can free up the business to focus on its strengths, allowing staff to concentrate on their main task and on the future strategy, results in increased efficiency whereby a chosen outsourcing company may specialize in the process or service resulting in productive efficiency and often greater quality. It may also result in controlled cost savings by making the company realize capital for investment in other parts of the business and helps the company to

leverage on the knowledge and skills along with the complete supply chain. However a company may not rely wholly on outsourcing process since it comes with a certain risk. For example a company may experience problems in service delivery, confidentiality and security which may be at risk, lack of flexibility which can be rigid to accommodate change and instabilities if the outsourcing company goes out of business. The construction companies therefore, should examine carefully the pros and cons in making the outsourcing decisions.

According to Deloitte (2016), the construction industry has been faced with a decline in productivity in Zimbabwe. There are talent shortages, declining resource quality, elevated input costs and inefficient capital allocation. All these factors contribute to escalating costs of the construction industry. The productivity going up and down, many construction firms have gone from marginal to loss making over 2014 and 2015. Weaker commodity prices have also had a major impact on the core financial metrics of many companies, eroding margins, cash flows and the carrying value of assets. This had led to some construction companies outsourcing their services to curb their inefficiencies for example Lafarge Holcim annual report (2016), has faced challenges of the cheap imports that entered the country the Durban port forcing them to remain unprofitable which lead to cheaper products being produced leading to consumers opting to buy alternative products. Lafarge has successfully engaged its parent company in Germany that is supplying them with quality inputs.

The study focused on different outsourcing strategies that construction companies may use and the effect they have on their performance. The different strategies that the study evaluated include strategic outsourcing, transformational outsourcing and tactical outsourcing. The different strategies that the study proposed were evaluated against the performance of the construction companies. This study emanated mainly from the economic challenges that the country is experiencing which have plagued the construction industry. In as such a situation, the industry has decreased its operation, failure to reach set targets and failed projects in the construction industry. This is due to the fact that the construction companies are facing high operation costs, huge wage bills, the need to transform fixed cost into variable cost, the need to reduce the capital invested, reduction in cost and to remain competitive. According to Karim (2009), there is constant pressure on companies to work more on their operational efficiency for increased competitiveness and ultimate corporate success. He further elaborates that such pressures include competition from

cheaper imports, in order to remain viable, thus it is important to understand the impact of strategies such as outsourcing have on the performance of the construction industry in a turbulent economic environment. Zimbabwe's manufacturing sector has experienced low capacity utilization, low production levels and high operating costs which has driven the need for this study.

1.3 Purpose of Study

The purpose of the study was to evaluate the impact of outsourcing processes on corporate performance. The study's main purpose was to determine how different outsourcing strategies that construction companies may use, and the effect they have on their performance. The different strategies that the study evaluated include strategic outsourcing, transformational outsourcing, tactical outsourcing and operational outsourcing. The different strategies that the study proposed would be evaluated against the performance of the construction companies so as to determine if they are worth investing in, that would be shown by the performance that they bring on the construction firms.

1.4 Statement of the Problem

The construction sector has not been left out in the doldrums as it has been not spared in the deepening economic crisis characterised by a debilitating liquidity crunch, foreign currency shortages, run-away inflation and massive power cuts which at times lasts up to 18 hours daily. The introduction of the Statutory Instrument (SI) 142 of 2019, which banned the use of the multicurrency regime and made the Zimbabwean dollar the sole legal tender, has worsened the problems bedeviling the sector (Zimbabwe Independent, 2019). Due to this situation construction companies have been facing notable challenges associated with high operating costs, management and monitoring issues, a large wage bill, bloated structures, failure to concentrate on the core function and mandate of the business, lack of skills set, declining revenues, loss of market share and quality issues. This has led to most organisations reducing workforce, downsize their operations, or re-evaluate and reprioritize through restructuring and paying more attention to their core competencies. This enabled firms to realise that not all of the business operations can be provided internally and therefore have to resort to outsourcing.

The study focused on different outsourcing strategies that construction companies may use and the effect they have on their performance. The different strategies that the study evaluated include

strategic outsourcing, transformational outsourcing, tactical outsourcing and operational outsourcing. The different strategies that the study proposed are to be evaluated against the performance of the construction companies.

1.5 Research Objectives

1.5.1 Main Research Objective

- To evaluate the impact of outsourcing on corporate performance in the construction industry in Harare, Zimbabwe.

1.5.2 Sub-research Objectives

- To investigate the impact of strategic outsourcing on corporate performance in the construction industry in Harare, Zimbabwe
- To determine the impact of transformational outsourcing on corporate performance in the construction industry in Harare, Zimbabwe
- To evaluate the impact of tactical outsourcing on corporate performance in the construction industry in Harare, Zimbabwe

1.6 Research Questions

1.6.1 Main Research Question

- Does outsourcing improve corporate performance in the construction industry in Zimbabwe?

1.6.2 Sub-research Question

- What is the impact of strategic outsourcing on corporate performance in the construction industry in Zimbabwe?
- What is the impact of transformational outsourcing on corporate performance in the construction industry in Zimbabwe?
- What is the impact of tactical outsourcing on corporate performance in the construction industry in Zimbabwe?

1.7 Research Hypothesis

Below are the hypothetical assumptions that were tested in the study:

- *H₁- Strategic outsourcing has a positive relationship on corporate performance in the construction industry.*
- *H₂- Transformational outsourcing has a positive relationship on corporate performance in the construction industry.*
- *H₃- Tactical outsourcing has a positive relationship on corporate performance in the construction industry.*

1.8 Significance Of the study

1.8.1 To practice

The study would bring immense benefits to the Zimbabwean construction industry. In light of the current economic situation in the country, the study would help the management of construction companies to adopt a competitive outsourcing strategy that best suits the company requirements. The findings of the study would also provide valuable strategic advice to many company management not only in the construction sector, even to other sectors as well. This study would assist in determining which components of outsourcing require investment in order to enhance corporate performance and also to provide clarity on whether outsourcing in the current turbulent environment improves corporate performance and hence would provide crucial strategic advice to the companies.

1.8.2 To theory

Past studies have however merely focused on the benefits of outsourcing independent of the environmental context, the gap which is to be addressed in this study. As a result, the academia would benefit from the new methodological approach of using the turbulent business environment as a moderating factor to the relationship between outsourcing and corporate performance. This study would add to the body of knowledge on outsourcing by filling the gap in current research which did not provide for the impact of a turbulent environment on outsourcing.

Other studies have looked at outsourcing as a whole; this particular study has brought focus to the cement manufacturing industry in view of the growth and expansion projects that are currently

underway. The construction industry as a whole would benefit immensely from this study through improved efficiencies, improved product quality, reduced costs and responsiveness to demand flexibility.

1.8 Delimitation of the study

The study was delimited in the following aspects

1.8.1 Geographical Delimitation

The study focused on the construction companies that are based in Harare region, this is because the researchers have limited time to carry out the research due to limited time frames. The researcher focused in Harare region because most of the construction companies are headquartered and vast of their operations are based in Harare.

1.8.2 Theoretical Delimitations

The researcher used literature that only focused on the impact of outsourcing processes on corporate performance. The researcher made use of literature from 2010 to 2019.

1.9 Limitation of the Study

The study was limited to the construction industry which are operating in Harare region hence may not be reflective of the global reach, business culture and environment. The researcher had limited time frames to carry out the research hence he made use of few construction companies in Harare which would give a generalized view of the impact of outsourcing on corporate performance. In carrying out data the researcher made use of interviews and questionnaires, and faced the problems of busy schedules with some of the respondents. The researcher used the drop and pick approach to avoid pressuring the respondent to take part in the study and the researcher made use of a letter from the university which stipulated that the research is strictly for educational purposes and the research subjects' confidentiality was protected.

1.10 Assumption of the study

In conducting the study, it was assumed that

- The respondents of the study provided unbiased data that is reliable for the study

- The sample size used in the research study represented the entire population.
- The questionnaires were administered and answered in a limited space of time.
- The data collection methods and instruments were reliable and valid hence gave reliable and accurate results free from bias.

1.11 Definition of major terms

Outsourcing: It is a business practice of hiring a party outside a company to perform services and create goods that traditionally were performed in-house by the company's own employees and staff

Strategic outsourcing: Is the process of engaging a third party and let the company focus on the core functions of the business

Tactical outsourcing: Is a process of hiring a firm to perform specific development functions as part of the existing development process.

Transformational outsourcing: Involves the radical redesigning of ways of implementation of outsourced tasks resulting in major improvements in the companies processes.

1.12 Chapter Summary

This chapter provided a general introduction to the study in which the background cascading to the problem was well described, analyzed and explained. The research problem was then stipulated followed by the list of research objectives, questions and statement of hypothesis. The later part of the study provided the significance of the study, the delimitation of the limitation, followed by the limitations and their contingency plans, the research assumptions and finally the chapter summary. The following chapter provides a critical literature review related to the study with the main focus on the research objectives. The review of literature gives a generalized answers to the research propositions whilst leaving the gap that the study intends to cover.

CHAPTER II

LITERATURE REVIEW

2.0 Introduction

This chapter presents reviewed literature on the impact of outsourcing on organizational performance. It focuses on strategic, transformational and tactical outsourcing and how it translates to corporate performance of the organization. The chapter is divided into different sections thus conceptual definitions, the theoretical view of the study in which models are described, analyzed and justified. The conceptual literature is also provided in which both dependent and independent variables of the study are analyzed. The last part of the literature has the empirical literature, where past studies that were carried out are outlined as the gap of the study is identified. The chapter finally ends with a summary of the literature review and gaps that were identified.

2.1. Conceptual Definitions

The section below defines the conceptual terms of the study, which are outsourcing on organizational performance and the drivers which lead the organization to outsource. The researcher defines analyses and conducts the applicability of the concepts in the present study.

2.1.1 Definition of Outsourcing

The concept of outsourcing came from an American terminology ‘outside resourcing’ meaning to get resources from the outside, outsourcing is a business practice in which a company hires another company or individual to perform task, handle operations or provide services that are usually executed or had previously been done by the company’s own employees (Troaca and Bodislav, 2012). The outside company which is known as the service provider or a third party provider arranges for its own workers or computer systems to perform the tasks or services either on site at the hiring company’s own facilities or at an external location. Companies today outsource a number of tasks or services and they often outsource information technology including

programming and application development as well as technical support. They can also outsource customer services and call service functions as well. Outsourcing may go a long way including manufacturing processes, human resources tasks and financial functions such as bookkeeping and payroll. Companies can also outsource the entire division such as its entire IT department or just parts of a particular department.

Alexandre and Proth (2013) argue that, companies often outsource as a way of reducing and controlling operating cost (the largest driver), improved focus on the core business of the company, gaining access to world class capabilities, freeing internal resources for other purpose, streamlining or increasing efficiency for time consuming functions, maximizing use of external resources and sharing risks with a partner company. The companies that decide to outsource may have to rely on the third party providers expertise in performing the outsourced tasks to gain such benefits thus the underlying principle is that the third party provider focuses on that particular task hence it is able to do better, faster and cheaper than hiring company could. Given such benefits, companies often decide to outsource supporting functions within their business core competencies thereby helping them gain a competitive advantage in the market (Dolgui and Proth, 2010). An example of outsourcing can involve using a large third party provider such as a company like IBM to manage IT services or FedEx Chain for third party logistics services, it can also involve hiring individual contractors and temporary office workers.

Outsourcing can be used as a management strategy by which an organization contracts out major, non-core functions to specialized, efficient service providers (McLaughlin, 2004 cited in Chikuse et al. 2012) it may be part of a larger strategy to move the organization to a leveraged business model and focus on core competencies or save net costs. Zimbabwe is a country that has been characterized by a series of challenges that impacted negatively on manufacturing. The economy is characterized by high interest rates, hyperinflation, rising production costs and foreign currency shortages. The country has also experienced falling employment levels and this scenario has seen Zimbabwe's labour force receiving inflation adjusted salaries regardless of performance. Despite all this, most of the companies in the construction industry Zimbabwe have also adopted outsourcing as a strategy to enhance their performance whilst minimizing their costs. Major areas that have been outsourced are Logistics (Fleet management, Mining outsourcing, Security

outsourcing, Production Maintenance outsourcing and General maintenance), Human resources and Manufacturing processes.

However Quinn and Hilmer (1994), stated that outsourcing can produce challenges and drawbacks to the company if they are not properly analysed and implemented. The companies engaged in outsourcing have to adequately manage their contracts and their ongoing relationship with third party providers to ensure success. Some might find that the resources devoted in managing those relationships rivals the resources devoted to the task that were outsourced, thereby possibly negating many, if not all, of the benefits sought by outsourcing. Companies may also realize that they lose control over aspects of the outsourced tasks or services. For instance, a company could lose control over the quality of customer service provided when it outsources its call centre function, thus even if the company's contract with the service provider may stipulate certain quality measures, the company might find it more difficult to correct an outsourced provider than it would be to correct an in-house team. Companies are likely to face heightened security risks, as they exchange with their third party providers the company proprietary information or sensitive data that could be misused, mishandled or inadvertently exposed by the outsource provider. Additionally, the companies might encounter difficulties in getting their own employees to communicate and collaborate effectively with those working for third party providers, a scenario that's more common if the third-party operates overseas (Yao et al. 2010).

China has been for a very long time viewed as the manufacturing hub for low cost production for many years and also for many Asian countries. There has been an increase in the demand for various areas of outsourcing such as Information Technology outsourcing and Business Process outsourcing and many countries have considered China as the most viable and suitable outsourcing destination. It is evident to note that the BRICS countries are also fully involved in outsourcing. Akewushola, & Elegbede, (2012), attests to the fact that China has proved that its labour is capable and is amongst the cheapest and this has contributed to some of the driving forces for outsourcing in these countries. He indicated that both China and India are emerging as offshore powerhouses as they take the lead in both skills and experience. Information technology outsourcing and Business Process Outsourcing revenue in India is more than 20 times that of China's, hence China still lags behind India for now and in the foreseeable future.

2.2 Drivers for Outsourcing Decision

Organizational competitiveness is determined by the ability of an enterprise to constantly meet changing customer needs better than the competition. In a market place wherein socio-techno-economic factors are dynamic, it is not feasible for an organization to build competitiveness and sustain the same at all the stages of the value chain (Ramachandran and Voleti, 2014). Typically, the drivers for outsourcing can be internal or external and these have been a focus of study by some researchers in the past. The key drivers include financial reasons such as reducing costs, generating additional profits and reducing capital outlays with periodic payments (Bhattacharya et al., 2013). Technical reasons for outsourcing are quality improvement, gaining access to new talent and technology, the easy availability of vendors with expertise, and economies of scale. Among the tactical drivers the most prominent ones are shortage of skilled workers and cost-reduction opportunities. Strategic reasons include refocus on innovation and core-competencies. Leading organizations are shrinking their business cycles and tightening feedback loops (Brown and Wilson, 2005; Greaver II, 1999), and increasing quality standards. The drivers for outsourcing decisions have been classified into four categories that are organisational, improvement, financial and cost, and revenue drivers.

2.2.1 Organisational drivers

The major objectives in the organization-driven initiative are to achieve a higher quantum of focus on core business, increase flexibility to deal with ever changing business conditions, demand for products and services, leveraging emerging technologies and achieving higher stakeholder value (Ghodeswar and Vaidyanathan, 2008). Outsourcing the tactical components of job functions of the management team empowers them to spend time on strategy-related issues such as market positioning and new product development. Outsourcing permits the redirection of resources from non-core activities towards activities that provide a greater return in serving the customer. Functions of this nature are identified, isolated and then outsourced to specialist vendors. The company can also proactively identify some current core functions that are expected to become less important due to market dynamics. These initiatives provide employees with a stronger career path and increased commitment and energy in non-core areas. Employees are recognized as key assets in labour intensive service industries.

2.2.2Improvement Drivers

The significant objectives of this initiative are to improve operating performance, obtain expertise, skills and technologies, improve management and control, improve risk management, acquire innovative ideas, improve credibility and image by associating with superior providers. Performance measures of productivity, quality, timeliness, cycle time, utilization can be targeted for improvement. A company when realizes that its in-house skill-set is inadequate for a given function as business dynamics change, it may entrust this function to a specialist service provider who is highly competent in administration, use well-trained and experienced staff and have the industry best practices (Ghodeswar and Vaidyanathan, 2008). When companies outsource, they become more flexible, dynamic and competent to change them to exploit changing opportunities. This is achieved by empowering the parent organization to handle fluctuations in the volume of work, eliminating the fixed cost of internal staff and moving the function to a service provider who will be paid only for the work done. Outsourcing is the best solution for applications that need to be developed or modified for a specified time or requires high-manpower resources at one point of time.

2.2.3 Financial and cost drivers

The objectives of this initiative are to reduce investment in assets, free-up resources for other purposes, and generate cash by transferring assets to the service provider. These business processes when outsourced reduce the investment required by the host organisation to modernize them. Outsourcing can also improve certain financial measurements by eliminating the need to show return on equity from capital investments in non-core areas. Outsourcing is a viable and important alternative to building the needed capability if an organisation is thinking of expanding its operations into a new geographical region. It also helps in reducing or controlling the operating costs. Access to an outside provider's lower cost structure is one of the most compelling short-term benefits of outsourcing. Other benefits sought by organizations are cost reduction with enhanced performance and conversion of fixed costs into variable costs. Service providers can handle varying demand more efficiently because of economies of scale, automation, process maturity, and investment in the latest technology (Ghodeswar and Vaidyanathan, 2008).

2.2.4 Revenue drivers

The major objectives of this initiative are to achieve aggressive growth by gaining increased market access and leveraging the service provider's best-in-class processes, capacity and systems. Most organisations have a finite capacity and limited capabilities. Expanding capacity may take several years to design, test and build the facilities, need a substantial level of investment, and result in lost market opportunity due to higher "time to market". The host organisation can achieve higher sales and production levels even when such expansion cannot be financed internally by the organisation. Outsourcing can involve the transfer of assets from the host organisation to the service provider. Equipment, facilities, vehicles and licenses used in current operations have a value and are, in effect, sold to the provider as part of the transaction, resulting in a cash infusion (Ghodeswar and Vaidyanathan, 2008).

2.3 Theoretical Literature

Outsourcing has been related to a plenty of theories in the outsourcing literature, basically they can be combined into three categories that are strategic, economics and social/organizational (Dibbern et al., 2014). On strategic theories, the main focus is on how firms develop and implement strategies to achieve a chosen performance goal. The references theories of this type include the Game Theory, Resource Based View, Resource Dependence Theory and the Strategic Management theory. On economics theories, the main focus is on coordination and governance of economic agents regarding their transaction with each other. The reference theories include the Agency Theory and Transaction Cost Economics. Social/ organizational theories focus on the relationships between individuals, groups and organisations. The reference theories include social exchange theory, innovation diffusion theory, power politics theories and relationships theory. (Dibbern et al.2014). For this research the researcher will focus on one of each in the segments explained above.

2.3.1 Transaction Cost Economics (TCE)

Transaction cost economics is mainly concerned with the governance of contractual relations. Governance does not, however, operate in isolation. The comparative efficacy of alternative modes of governance varies with the institutional environment on the one hand and the attributes of economic actors on the other (Williamson., 1993) cited by Aman et al.(2012), A three-level model

to explain Transaction Cost Economics is proposed and this model has the object of analysis, governance and the institutional environment. Firms tend to ask themselves a lot of questions that question their existence and how they operate the way they do. These questions also revolve around why firms should continue to produce on certain sections of the production process by themselves and why sometimes it is more beneficial to engage an outside contractor to handle the operation on its behalf.

A determination of the boundaries between what is performed from within and what is performed by external parties would also have to be outlined. Oliver Williamson, who is the father with regards to the field of Transaction Cost Economics, explains that transaction cost economics is a central theory in the field of Strategy. It addresses questions about why firms exist in the first place (i.e., to minimize transaction costs), how firms define their boundaries, and how they ought to govern operations. According to Williamson (1979, 1985), cited in Aman et al. (2012) transaction costs refer to market related transaction costs such as costs of contracts, supervision and costs associated with opportunistic behaviours. He indicated that transaction costs are based upon asset specificity, frequency and uncertainty (Williamson, 1985 cited in Aman et al. 2012).

High level of assets specificity creates interdependencies between parties and high switching costs. High transaction frequency can lead to high transaction costs. High uncertainty contributes to high transaction costs, which are contingent upon the characteristics of human nature, which are bounded by rationality and opportunism. Williamson (1985) as cited by Aman et al (2012) suggests that firms should select appropriate governance structures such as related control systems to minimize transaction costs at all times.

Gonzalez et al.,(2016) explains the issue of transaction costs economics in relation to the three most relevant and broad areas and these are contact, contract and control he alluded that all these three areas have various costs that are associated with each of them. Costs vary and some of them include communication costs, setting up costs, costs of negotiation and sometimes costs for legal advice. It is therefore extremely important for firms to be aware of costs that incur at every stage in the outsourcing process and this will play an important role in the decision of whether to conduct the process in house or to go ahead and subcontract the process to a third party vendor. This research will also touch on contract development as one of the processes in outsourcing and its importance and the extent to which executives need to invest in the process in order to realize

corporate performance. It is therefore also important to note that transactions costs of contracting to third party vendors will certainly be high in the presence of issues such as uncertainty, complexity and asset specificity.

2.3.2 Resource Based View (RBV)

According to Willcocks (2011), the resource-based view argues that firms possess resources, a subset of which enables them to achieve competitive advantage, and a further subset which leads to superior long-term performance. The resource based view is further explained by two assumptions and the first being that of resource heterogeneity where some firms may be more skilled in performing activities than other firms' despite being in the same industry and hence the explanation that some companies perform better than others, for example Toyota is said to be better at product design than General Motors and Apple is said to be better and more skilled than IBM. The second assumption of the Resource Based View is that some of these resources and capabilities may be long lasting and rather costly to acquire and this assumption is known as Resource Immobility. Companies like Toyota and Apple explain this assumption well as their advantage stems from the vast experience and wealth of knowledge that they possess from being in the industry for more than thirty years.

This clearly explains why some firms perform better than others, because the firm that has these resources and capabilities eventually outshines as it becomes very costly for other players to imitate these and to acquire the resources. Hewat, (2010), have explained that resources and capabilities enable firms to gain a competitive advantage and that this advantage can be sustained over long periods of time to an extent such that the firm is able to protect against resource imitation, transfer or substitution. Organizations need to ensure that they take a deep dive into assessing their resources and capabilities and this can be done by critically assessing whether they have four attributes that are value, rarity, imitability and the question of the organization. With these the organization is able to determine whether they have their resources will guarantee them sustainable competitive advantage or not. Literature explains in great depth the need for sustainable competitive advantage, however there is very limited research on ways and means that companies can adopt in order to maintain the sustainable competitive advantage.

2.3.3 Social Exchange Theory (SET)

The basic assumption of social exchange theory is that parties enter into and maintain relationships with the hope and expectation that doing so will be beneficial to them (Blau 1968; Homans 1958 in Osborn, 2012). Hence it is evident to note that the social exchange theory dates from way back and does not only revolve around business to business relationship but include friendships as well. An imbalance in power may result in unstable, unhealthy and an open relationships, hence it is key and of paramount importance for both parties to depend on each other in order to ensure continuity and fruitfulness of the relationship. As such when organizations decide to have some of their processes conducted by an external third party it is important that there are interdependencies and it is these interdependencies that will keep the relationship going for as long as desired by both entities. According to Osborn, (2012) parties eventually weigh out the benefits of the relationship and it is from these benefits that they draw the level of commitment that is put into the relationship.

It is interesting to note that various theorists discussed to great lengths some of the premises of the social exchange theory, Osborn, (2012) went ahead to summarize the views of the theorists. The first premise is that of exchange resulting in social and economic outcomes. Aristotle, Thibaut and Kelley, Blau and Homans (2013) all made contributions towards this premise, citing that people seek to obtain both social and economic rewards from relationships. The second premise was that of social and economic outcomes and the comparison to alternatives, theorists such as Thibaut and Kelley, Baul and Homans (2013) indicated that reciprocal exchange will ensure continuity of the relationships. The third premise which was supported by Blau, Homans and Macaulay (2012) who are of the view that positive outcomes over time increase trust and commitment. Finally Thibaut and Kelley, Baul, Homans and Macaulay (2011) are of the view that interactions over time produce exchange norms.

Although different views of social exchange have emerged, literature does not fully emphasize how best organizations can maintain and sustain these relationships. One of the basic tenets of Social Exchange Theory is that relationships evolve over time into trusting, loyal, and mutual commitments. To do so, parties must abide by certain “rules” of exchange. It is therefore important for businesses to understand the benefits that they will draw from the various contracts that they will engage in, it is also key for them to ensure that both parties add value to each other and in so doing a relationship based on trust and commitment is established and thus bringing about continuity.

2.4 Models of Outsourcing

2.4.1 Offshoring

According to O’Leary (2016), offshoring is the practice of outsourcing operations overseas, usually by companies from less developed countries with the intention of reducing the cost of doing business. Chief among the specific reasons for locating operations outside a corporation's home country include lower labour cost, more lenient environment regulations, favourable tax regimes and the proximity to raw materials. Most of the companies are diving into the offshoring world because of globalization since firms want to establish a global presence hence setting up remote teams sets new trends in business on an international scale, some offshore because of the innovation in the rapidly changing market.

Offshoring is not a recent subject however due to the aspects of globalizations and the world becoming interconnected there has been a greater need to look at offshoring. This change in structure has been underway for some time, and is generally attributed to the interplay between three factors: technological advances, economic and competitive pressures to reduce costs and improve productivity, and institutional developments favouring trade liberalization and this has led most organizations to try and understand what the various markets have to offer so as to get a quality product whilst also reducing costs. Offshoring in services began long back in the late 1980s and early 1990s with the contracting out of tasks related to customer services, but has since moved on to a wider range of operations including engineering, software development and other tasks requiring high-skilled human capital (Zhelyazkova, (2011).

2.4.2 Multi-sourcing

According to Su and Levina (2011), Multi sourcing is a process by which firms select and combine information technology and business services from multiple providers. Industry analysts have encouraged firms to adopt multi sourcing by forecasting major cost savings and operational and strategic risk reduction. The decision on whether to multisource or not is said to be extremely difficult to make, however it allows corporates a chance to explore the unique capabilities that are offered by the various suppliers. Multi sourcing strategy is concerned with the trade-offs involved in varying the size of the supply base within particular functions, such as IT application, development, and maintenance, IT infrastructure, claims processing, accounts reconciliation, HR

services, customer services, etc. (Su and Levina, 2011). Many firms have also begun to reduce the number of suppliers that they deal with and remaining with a few strategic suppliers. They concentrate solely on supplier development. These suppliers are also said to have small selective contracts.

2.4.3 Business process outsourcing

Business process outsourcing is a method of subcontracting various businesses related operations to third party vendors, alternatively it is a business practice in which one organization hires another company to perform a process task that the hiring organization requires for its own business to operate successfully (Rouse, 2019). It has its roots in the manufacturing industry with the manufacturers hiring other companies to handle specific processes such as the parts of their supply chain unrelated to the core competencies required to make their end products. Over time the organisations in other industries have adopted this practice. The organization engages in business process outsourcing for two areas of work that is back office functions and front office functions. Examples of back office functions also referred to as internal business functions include information technology, accounting, human resource quality assurance and payment processes. Front office functions include customer relation services, marketing and sales (Rouse, 2019).

2.4.4 Professional Outsourcing

Professional Outsourcing is the practice of contracting to individual specialists or professionals to handle multiple, small tasks without the intention of outsourcing an entire function. Another term for professional outsourcing is body shopping. There are times when a business has their own processes well-established and streamlined that there are small tasks or projects that fall by the wayside due to resources already being allocated. In those cases, companies have the option to contract those small tasks and side-projects to professionals outside the organization who can work on the tasks independently. Successful tasks or projects that show great potential can then be re-integrated into the company or be further built out with an outsourced team (Murray, 2016). In other cases, for immediate needs (quickly taking advantage of business opportunities, problems in fulfilling a current order) businesses will outsource to professionals on a short- to medium-term

basis. In both cases, there is a need for professionals who can handle a surge in workload without unduly stressing the internal resources of the company.

2.4.5 Trends in Outsourcing

Outsourcing operations are becoming increasingly complex. Sharma & Loh, (2014) held that outsourcing has also started to involve a larger and growing number of different business operations and the trend is that firms often outsource more mission-critical and complex processes that they do not normally have expertise in. As the years have gone by, the selection criteria on whether to outsource or not is no longer limited to the aspect of cost savings, but to various other factors, contracts are further becoming more and more complex and sophisticated with regards to the scope, financial aspects and the measurement of procedures and lastly the management of the relationship with the supplier itself which has greater implications on the performance of the contractor. However globally Gartner report is said to have reported outsourcing to have increased on a moderate growth of 2.8% in the outsourcing services of information technology which was considered fairly low compared to the expected. Shy and Stenbacka (2015) cited that Diamond Cluster International, a Chicago management consulting firm, 78% of executives who outsourced an Information Technology function have had to terminate the agreement prematurely and their main disappointment emanated from poor service and change in the cost structure. A survey that was conducted from the period of 1998 to 2003 clearly showed that outsourcing had grown globally and most of the mega contracts were signed in the following areas, Information Technology, Business Process Outsourcing, Production and Logistics. Companies such as The Bank of America, Sabre Holdings, Xerox, IBM, Telecom Italia and Interbrew signed mega deals and contracts for periods as long as 10 years with the contracting values coming to as high as \$5 billion.

According to Rao and Varghese (2013), the global offshore outsourcing market for Information Technology and business services exceeded \$55 billion USD in 2008, and some estimates suggest an annual growth rate of 15-20 per cent over the next five years. In 2008 India posted some 65 per cent of the Information Technology Outsourcing and 43 per cent of the Business Process Outsourcing market (Windrum, Reinstaller, & Bull, 2010). Globalization was practiced even mostly in Brazil, Russia, India and China and they offered both offshore information Technology and back-office services, and also, and they leveraged mainly from their large populations, in 2008

India exported \$40 billion of such services, while China, Russia, and Brazil achieved \$5 billion, \$3.65 billion, and \$800 million respectively. However, by 2009 there were over 120 other active offshore locations offering Information Technology and business process services or captive locations for these. All were looking for new business.

2.5 Conceptual Literature

This section defines the conceptual terms of the study. An analysis of the dependent variables is given prior to an analysis of the independent variables. A link or case explanation is provided towards the end of the analysis of each component.

2.5.1 Strategic Outsourcing

Strategic outsourcing is an approach in which the firm invests internally in those business activities from which it derives a competitive advantage and outsources the necessary activities to the best-in-class providers. Essentially the firm concentrates on its core competencies and actively considers outsourcing its non-core activities (CI Management Information systems, 2012). Strategic outsourcing involves partnering with a company that provides top-down services thus handling the entire planning and development processes, leaving the company free to focus more on the other aspects of the business. This is good for companies because they are able to pay prices per project instead of per hour of work. According to Brown and Wilson (2005), strategic outsourcing's main assumptions of its implementation is to give the management the ability to focus on activities and resources of the core business, extend a range of outsourced processes compared with tactical outsourcing, which gives up involvement in the supervision of outsourced activities by the company's management, limits the number of service providers to those offering comprehensive services and providing the highest quality of services.

An example of strategic outsourcing was done by Coca-Cola which decided that it did not have the capital, the time or the expertise to produce its own bottles, Coca-Cola chose to license a group of independent bottlers to whom it would sell its syrup while imposing strict quality controls. In the several decades, Coca-Cola was able to achieve its key strategic business objectives, including vastly expanding its market and protecting its good name. By outsourcing the non-core business function of bottling its products, Coca-Cola was able to focus on its core business objectives (such

as maintaining high product quality, protecting its brand and growing market share) (Phutule, 2016).

According to Greaver (1999: 8-10) outsourcing initiative becomes strategic when it goes along with the organization's long-term strategies. When tactical outsourcing is more featured with a problem-solving mentality, it takes strategic outsourcing to a higher level. Strategic outsourcing should take account of the whole performance and structure of the organization by asking questions about outsourcing's relevance to the organization and its vision of its future, current and future core competencies, current and future costs and current and future competitive advantages. Ansoff (1965: 201) argued that the most important questions to the firm's organizational strategy are what to produce internally (vertical integration) and what to buy from external providers (outsource). Early scholars adopting the strategic perspective argue that core activities should stay in-house, whilst non-core activities can be outsourced, in order to preserve core competencies. Outsourcing is considered traditional when a firm is outsourcing processes that are not considered critical for the organization. For example activities that do not require specific competencies by the supplier like cleaning or canteen services. In turn, strategic outsourcing happens when companies outsource everything except those special processes and activities which could provide a unique competitive edge to the company (Quinn & Hilmer, 1994).

According to Quinn and Hilmer (1994: 43-55), strategic outsourcing have proved to have some advantages to the companies that adopt this initiative that is, they maximize on the yield from internal resources by concentrating investments and efforts on what the firm does best (core competencies) and creating or protecting the competitive advantages by developing and strengthening the core competencies and building barriers against present or future competitors who might try to enter the firms areas of interest. Strategic outsourcing also provides incentives to investments in the outsourcer's technology and know-how, their innovation and skills, and their specialized activities, which the outsourcee can maintain in-house only through continual investment and innovation. According to Mella (2007), strategic outsourcing reduces the risk in rapidly changing markets and in presence of fast evolving technologies, an outsourcing strategy transfers outside the firm the risk from technological change and research and development cost, thereby shortening the production cycles and making the response to customer needs faster and more reliable.

According to a study by Ordoobadi (2016), strategic outsourcing has to be properly implemented in the organization and if not properly implemented will bring about risks to this initiative. Strategic outsourcing has proved to have a higher flexibility, with fewer restrictions from rules existing in the company and it also has increased responsiveness to customer's needs thus customer feedback can be transferred to the suppliers with no need to go through the company policy and bureaucracy. McCarthy (1996), argued that strategic outsourcing reduces many sources of risk and potential liability faced by manufacturers like safety, EEO, ADA or workers compensation. It also results in lower capital risk, reduction of cost because of the suppliers economies of scale on raw materials, labour and overhead cost and a greater focus of resources on high value added activities and core business.

However, Chalos (1995) argued that strategic outsourcing in the manufacturing sector brings about lack of control on the quality of the products/ service provided by the suppliers, inability to meet fluctuations in demand for products or services that has been outsourced, loss of control over suppliers thus possibility of suppliers becoming a competitor for a firm themselves or assisting the firms competitor. It also results in a negative effect on employee morale, loss of critical skills or developing the wrong skills and loss of cross functional skills.

According to Phutela (2016), companies often treat strategic outsourcing as a de facto solution, without careful evaluation and understanding the true strategic rationale for pursuing it. Outsourcing brings in companies business significant structural changes, which require a cohesive master plan, i.e. a strategic outsourcing plan. If a company starts outsourcing initiative, steps for success are: knowledge, planning, sourcing and execution. The success is primarily dependent on explicit planning and identification of all possible opportunities. Strategic outsourcing plan must be done from the perspective that it will help to grow business instead of focusing only on cost cutting, leaving out consideration of long term business implications. Company's business strategy should be aligned with outsourcing strategy and outsourcing strategy execution should stay in sync with near and long term business growth goals.

However, the biggest mistake those companies are making when approaching an outsourcing solution is missing linkage to business strategy. Strategic Outsourcing Plan built without the

context of business strategy can produce, at best, only tactical results and can take a company entirely to the wrong direction, allowing functions to be outsourced in ways that actually hurt the company. Before entering into an outsourcing engagement and before starting the plan, company should have certain processes to compare actual performance against plans. Concrete measurements, data history help to indicate processes weaknesses and opportunities for improvement, thus giving direct input to strategic outsourcing plans (Vitasek and Kate, 2016). Different duration business and outsourcing plans are defined as: long term, near term, short term and tactical. Each plan has its own business owners, activities to be performed, methods and tools to be used and documents created. Both strategic plans: business and outsourcing should be performed in parallel in order to achieve maximum benefit.

2.5.2 Transformational outsourcing

In the past companies have outsourced non-core activities, leaving them free to concentrate on core activities and underlying business processes, however under a newer transformational outsourcing arrangement, a service provider takes responsibility for business critical systems and services, clients combining several projects into one, large contract with a single supplier. This is driven by the current economic environment and the need for cost cutting above all (CFI, 2019). Transformational outsourcing is the most developed form of cooperation with a service provider in outsourcing, the services carried out by the provider involves the radical redesign of ways of implementation of outsourced tasks resulting in major improvements in the company processes (Brown et al. 2005). According to Brown et al. (2005) transformational outsourcing main emphasis is on performance of the company in which its primary goal is increasing the market value of the company. The role of the service provider involves redesigning the business in line with the strategic objectives of the customers and cost optimization and reengineering which is the primary focus to facilitate the permanent increase in the market value of the company.

According to Linder (2015), companies are implementing transformation outsourcing because it facilitates rapid organizational change, launch new strategies and reshape company boundaries. In doing so they engage in transformational outsourcing that is partnering with another company enables the achievement of a rapid, substantial and sustainable improvement in the enterprise performance. Transformational outsourcing is an emerging practice; most of the organizations have started adopting the strategy. According to a study done by Goepfrert (2013), of the 20

companies included in the study, 13 companies have achieved dramatic, organization level impact through transformational outsourcing, to an extent that other companies started replicating such success thus it is more effective way of improving performance than other major internal change initiatives such as mergers, acquisitions or joint ventures.

The key issue in transformational outsourcing is attaining new capabilities. In undertaking an internal initiative, a company will have concluded that it lacks an important set of skills. Sometimes it would be too time consuming to develop the skills internally or alternatively in a merger and acquisition scenario the company may acquire the capabilities it lacks, but cultural clashes often interfere with its ability to use them effectively. An acquiring company seldom, for example may put executives from the acquired company in charge of its own organisation in order to learn from them. However similar cultural impediments make it unlikely that a company will transform itself with the expertise it gains through joint ventures. Transformational outsourcing places power to bring new capabilities to the organization squarely in the hands of the executives who have value and capabilities. In otherwise the outsourcing partner provides a management team that is experienced in the capability that the organization seeks to change and those executives are empowered by the outsourcing process to implement the practices they bring (Linder, 2015).

According to Aitison (2016), transformational outsourcing is becoming known as business process outsourcing. He argued that outsourcing usually means some business process reengineering of the service to be provided so that the basis for provision changes radically. To get economies to work, a decent business process outsourcing proposition radically transforms the process through re-engineering, deployment of new technology and even relocation of a service. Business process outsourcing is one is often implemented among the undertaking that requires greater proficiency, knowledge, capital, education and skills to handle, resource demanding, relative competencies, and involve expert competencies (Muriithi, 2014). Other characteristics for services that are readily outsourced include services subject to fast changing technology, and characterized by changing work patterns (Kiptum, 2014). Amongst the services that can be outsourced include staff management, production process management, quality assurance, customer service functions, and key asset management of these functions (Bolo & Mutua, 2014). The advantages of the BPOs include market growth, increased staff morale and satisfaction, improved customer satisfaction, increased supplier satisfaction, higher product availability, positive effect on return on investment

and reduced field complaints (Shaviya, 2013). However, the BPO also has certain challenges including reduction of company's control over how certain processes are conducted, thus raising the company's exposure to liability. BPO involving foreign companies pose additional risks associated with different legal and cultural settings as well as coordination challenges (Ngatia, 2013).

Chebet and Kwasira (2016), in their study results argued that through transformational outsourcing, businesses faced with increasing competition need to increase its flexibility to respond to the market needs and direct their skills and resources to high value added activities that they have competencies in. The firms must then outsource functions that are not core to its production or they don't have the capacity to competitively implement in a cost efficient manner. Other reasons leading the businesses to transformational outsourcing include reduction of operational costs, superior flexibility, utilization of cutting edge technology, cost reduction, product quality improvement, customer service improvement, bridge gap in staffing requirements and acquisition of competitive advantages (Yueng, 2014). Factors influencing a company's engagement in the transformation outsourcing process include the type of the business that the firm is engaged in, ownership of the businesses, scope of competition for expert services, government policies, organizational culture, cost of setup and the ability of businesses to restructure and reorganize their working methods to take advantage of the new chances made available through the outsourcing strategy (Ochola, 2013).

Transformational outsourcing is commonly used to redefine the business, it enables an organisation to retain leadership position, build sustainable competitive advantage and generate highest value for an organisation. Some issues addressed by transformational outsourcing are good governance, maturity of business process knowledge and adequately drafted business strategy. The levels of risk in strategic and transformational outsourcing are higher than tactical form, but are commonly shared with the outsourcing partner. Tested risk mitigation plans, high-security levels, mature project management skills and proven business continuity plans need to be put in place before an arrangement can begin in this direction.

2.5.3 Tactical outsourcing

Tactical outsourcing is used by organisations to resolve specific problems being experienced by a firm, a lack of financial resources to make capital investments, inadequate in-house managerial competence or a desire to downsize. Tactical outsourcing is a form of traditional outsourcing and is based on cost comparison and the make-or-buy decision. The tactical outsourcing results in visible benefits in the form of enhanced cash savings, minimizing the need for future investments and resolving staffing issues. It involves execution of a business process following the existing rules. Tactical outsourcing can also extend to outsourcing peripheral activities enabling the management to acquire industry specific capabilities by partnering with a chosen vendor (Hussey and Jenster, 2003). This is a common method used by large mature corporations for handling high-volume repetitive tasks. This is used for processes such as payroll transactions, HR administration and procurement.

Tactical outsourcing is the use of outsourcing to bring about operational efficiencies. In tactical outsourcing, internal business services and operations are benchmarked against the marketplace of external providers of such services, if the cost and benefits of internal sourcing of such services do not compare well with that of external sourcing, the business service is outsourced (C1 Management Information Systems, 2012). It is treated as a tool to solve various problems in a company, concerning in particular, insufficient funds, insufficient decision making powers in the implementation of tasks, lack of access to modern methods and equipment and the need to reduce employment. Most companies use tactical outsourcing as a tool for restructuring the company and its main objectives are to reduce cost, eliminate the need for investment in resources used in the processes transferred to the service provider and reduce the number of employees.

According to Grossman and Helpman (2015), tactical outsourcing is oriented towards solving present problems, by engaging the external supplies, this strategic model implies doing business with a smaller number of the “cream of the crop” among the integrated supplies in order to do business in the best possible way. Tactical outsourcing is a short term transactional activity, which is commonly practiced in small to medium size manufacturing organizations. It uses a routine and sometimes a reactive approach to purchasing material and supplies using quick quote and order processes to support the production operations. Commenting on tactical outsourcing according to Sparrow (2012), author of the Successful IT outsourcing argued that in recent years many

companies have adopted tactical outsourcing solutions to contract out development of websites and services using small innovative companies to gain rapid access to new technical skills.

According to the tactical concept, the firm's economic boundaries extend in an economically natural way that is only to the processes whose in-house costs are lower than that obtained by outsourcing processes. The make or buy decision would guarantee the proper extension of the boundaries (Mella, 2012). The boundaries are actually defined by possibility of transforming part of the fixed costs that is by reducing investments in machinery and equipment (Bettis et al., 2005), for in-house processes that cease after outsourcing into variable cost, represented by the prices paid to the outsourcer, thereby gaining greater productive flexibility with the additional advantage of having access to the most recent technologies without any additional investment burden. In short, the tactical view considers outsourcing as a way of solving specific problems which could be the lack of in-house competencies or financial resources, or the need to reduce the management workload and leave room for the choice of core businesses (Mella, 2012).

2.6 Empirical Literature

This section of the literature presents past studies that were conducted on the constructs of the study in a bid to come up with a gap which the present study will cover. Below is the empirical literature of the study.

2.6.1 Outsourcing on Organization performance

The concept of organizational performance emanates from the concept of efficiency and effectiveness. A business must produce the right products and services and it must produce them using the fewer possible inputs if it is to have a strong organization performance (Cheng, 2011). Organizational performance can be measured by analysing a company's performance as compared to its corporate goals and objective that is based on three primary outcomes; financial performance, market performance and shareholder value performance.

Businesses simply endeavour to perform well in a number of areas in the organization. Most importantly, they strive to do well financially in terms of achieving superior profitability and realizing good return on investment. In order to acquire as much market share as possible, it is imperative that companies produce a product that is on demand and offer it at a price that allows them to compete in the market. Finally they need to perform well in terms of creating value for their shareholders by ensuring sustainable levels of growth and shareholder return (Bechanan, 2014). Research work on organizational performance should include multiple performance measures. Such measures could be traditionally accounting benchmarking such as sales growth, market share and profitability. In addition, factors such as customer satisfaction and non-financial goals of the owner are also very important in evaluating performance, especially among privately held firms (Cheng, 2011). This approach is consistent with the Balanced Scorecard, a proposal propounded by Kaplan and Norton (1996) that the performance of a firm should be measured in four dimensions that is financial, customer, learning and growth, and internal business processes. The balance scorecard directs the managers to use both financial and non-financial measures to evaluate the organization of the firm.

Empirically, Kamanga and Ismail (2016) on their study on effects of outsourcing on organisational performance in the manufacturing sector in Kenya, the study targeted a population of 42 management staff from three major departments namely: Production, Transport and Agriculture, Engineering. Data was collected from primary sources through survey method by use of questionnaires. The researcher found out that cost, quality, technology adaption had organization performance had a significant strong positive relationship. There was an insignificant positive weak relationship between risks and organization performance. Based on the study findings, the researcher recommended that organizations should not outsource an activity fully until they have confirmed beyond doubt that the service provider is capable of handling the activity, organization should engage the service provider on the quality standards which are expected before entering into the contract, Organizations should select the service provider on the basis of consistent technical and managerial capabilities and service providers should only handle particular risks which even if they occurred would not affect the entire organization performance.

In a similar study by Kuyamba (2019), in his study of the effectiveness of outsourcing on corporate performance. The results of study were based on a sample of 111 staff selected by using convenient and purposive sampling; source of data was obtained using primary and secondary source of data and collected using questionnaire and documentation. The results have shown that organizations in Rwanda outsource in order to access special expertise as shown by all respondents at a rate of 100% and to reduce costs as shown by respondents at a rate of 96%. Furthermore, the findings showed that outsourcing activities contributed to the organizational performance as revealed by respondents regarding their views on the effect of outsourcing on cost efficiency, productivity and profitability. Moreover, the findings show that there is a weak positive and significant relationship between outsourcing activities and cost efficiency while it shows a weak and moderate positive insignificant relationship between outsourcing activities with productivity and profitability respectively. This study therefore recommended that organizations in Rwanda should continue to improve how they manage their outsourcing activities by emphasizing on non-core activities instead of outsourcing their core activities.

Aning (2012), in his study of effects of outsourcing on the performance of organizations, were the study objectives were to find out the types of activities outsourced by the organizations, the reasons for outsourcing and to evaluate the effects of the outsourced activities on the organizations performance. The study found out that the outsourced functions cut across all the institutions selected for the study. It also emerged that the key factors that influenced the choice to outsource a function/activity by management was to reduce cost and also to allow staff to concentrate on the core activities of the institutions. The activities outsourced were peripheral activities that could easily be peeled off without much disorientation to the whole organizational set up.

Nyamaboame and Huddud (2017) argued that the need for businesses to gain profit through the provision of high-quality services has driven the organizations to outsource business activities and functions that are considered not integral to the core business which has resulted in increased organizational performance. According to Narigirisi (2016), companies outsource to access special expertise, speed up delivery of services, reduce costs and get enough time to concentrate on their core activities. In the long run companies have benefited from outsourcing in several ways like

reduction in costs and company staff getting enough time to concentrate on their core activities to promote the company's competitiveness in the market.

2.6.2 Strategic Outsourcing on Organization performance

Strategic outsourcing when approached in a proper manner can lead to a vital combination of reducing both cost and risks. This is because the outside supplies undertake investments and developments risk that the outsourcer avoids. Therefore by risk sharing among multiple clients, the supplier lowers costs for all its clients due to the pooling effect and economies of scale. Additionally the risk management in itself is now becoming one of the critical new tools and benefits of outsourcing (Lawson, Tyler and Porter, 2014). Today business executives understand that strategic outsourcing for short term objectives of cutting costs does not yield nearly as much as outsourcing for long-term objectives such as building a knowledge based system or strategic benefits. The advantages of longer term focus include greater intellectual depth and access, opportunity scanning, innovation, reliability, quality; value added solutions or worldwide outreach (Chen and Guo, 2014). They seek the intellectual value that this 3rd party specialist can offer seeing that they are good at their job.

Empirically, in a study by Akewushola and Elegbede (2012), on their study of the effect of strategic outsourcing on the performance of small and medium scale enterprises (SMEs) were the research work determined the effect of outsourcing strategies (back office activities, primary activities, accounting activities and supporting activities) on the performance of Small and Medium Scale Enterprises (SMEs). The study found that; outsourcing of back office activities (such as bookkeeping, payroll, billing, order processing, payment processing, cleaning services, security services and other administrative activities); outsourcing of primary activities (such as manufacturing, purchases, warehousing, Salesforce and customer service); outsourcing of Supporting activities(such as shipping, IT services/system, training, advertising, legal services, transport services, public relations) has a significant effect on organizational profitability of SMEs whereas, outsourcing of accounting activities(such as financial reporting, tax processing) has no significant effect on performance of SMEs.

A study by Suraju and Hamed (2013) on outsourcing services as a strategic tool for Organizational Performance: An Exploratory Study of Nigerian Food, Beverage, and Tobacco Industry. The study

examines outsourcing service as a strategic tool for organizational performance using data generated from fifteen (15) companies in the Nigeria food, beverage, and tobacco industry, within the period 2000-2010. The results show that the more an organization outsourced, the higher its organizational growth, and organizational productivity are positively correlated to the amelioration of competitive advantage of labor productivity and average production cost. The paper also revealed that strategic outsourcing is beneficial to organizational performance, and enhances a firm's financial economies and competitive advantage in the market place. Therefore, Organization should develop a comprehensive plan to clarify strategic outsourcing objectives, expectations, and requirements towards their outsourcing function.

According to Ndinda (2018) on her study of the impact of strategic outsourcing on organizational performance: A Case Study of Bidco Africa Limited which the purpose of the study was to establish what influences the decision to outsource and how that decision affects the overall performance of the company. The findings of strategic outsourcing variables shows that cost driven outsourcing, innovation driven outsourcing, and focus driven outsourcing had a significant influence on organizational performance at Bidco Africa Ltd. The study found that cost driven outsourcing led to improved organizational performance by reducing costs and risks while increasing operational efficiency, both in the short term and long term. Further, the study found that innovation driven outsourcing improved organizational performance by enabling it to create, develop and deliver value to the market faster than its competitors. The success of innovation driven outsourcing however was found to be largely dependent on cost control and core competencies focus, hence must be evaluated carefully. Finally, the study found that focus driven outsourcing assists a company to free up its resources so as to concentrate on its core business, which leads to improved organizational performance.

2.6.3 Transformational Outsourcing on Organization performance

Transformational outsourcing is when an organization outsources business critical systems and services that is a service provider takes responsibility for business critical systems and services, clients combining several project into one large contract with single supplier (CFI, 2019). According to Brown et al. (2005) transformational outsourcing main emphasis is on

performance of the company in which its primary goal is increasing the market value of the company. The role of the service provider involves redesigning the business in line with the strategic objectives of the customers and cost optimization and reengineering which is the primary focus to facilitate the permanent increase in the market value of the company. According to Linder (2015), today's companies are looking for outside help for fundamental reasons that are to facilitate rapid organizational change, to launch new strategies and to reshape company boundaries. In doing so they engage in transformational outsourcing that is partnering with another company to achieve a rapid, substantial and sustainable improvement in the enterprise performance. Other reasons leading to the businesses to transformational outsourcing include reduction of operational costs, superior flexibility, and utilization of cutting edge technology, cost reduction, product quality improvement, customer service improvement, bridge gap in staffing requirements and acquisition of competitive advantages (Yueng, 2014).

Empirically, Linder and Linger (2004) on their study of transformational outsourcing on organisational performance were the study adopted by 20 companies in the manufacturing sector. The study found out that, out of the 20 companies, 13 companies have achieved dramatic organisational impact to the extent that other companies that are replicating such success has viewed that transformational outsourcing is a more effective way of increasing performance than other change initiatives such as mergers and acquisitions, or joint ventures. The key issue is new capabilities, in undertaking internal initiatives, a company concluded that it lacks an important set of skills otherwise it would not be seeking transformation.

A study by Adeleye (2015), on the impact of outsourcing on business performance and sight from employees, where he analysed the effect of strategic, tactical, operational and transformation have based on the employees insights. The study found out that transformational outsourcing has the potential to make a very high impact on business operations and performance, and for organisations willing to go down this high-risk road, the rewards can be substantial and provide the much-needed impetus to strategic renewal and market expansion.

Linder (2004), one of the prominent advocates of transformational outsourcing, studied transformational outsourcing in her article. She has posited four broad situations in which this innovative use of outsourcing may be appropriate that is for ambitious start up that need to scale up fast; "crouching tigers" that need to grow fast but are being constrained by a lack of some

critical capabilities; as a catalyst of change among “fallen angels” firms that are underperforming and need strong action to get back on track; and finally, for “born-again organisations” (mature or old economy firms) that need nothing short of an end-to end transformation of critical processes and functions for survival.

In a similar study by Krastic (2015) on business process outsourcing as a tool for improving enterprise efficiency argues that transformational outsourcing is an emerging practice, where organizations are looking outside for help for more fundamental reasons that is to encourage quick organizational change, implement new strategies, and reshape company boundaries thus increasing the organization performance.

Another study by Chew & Gottschalk, (2013) on business process outsourcing which seeks to explore the relevance of outsourcing of business process projects and strategic options for improving enterprise efficiency and realizing the competitive advantage. The study found out that transformation outsourcing acts as a tool for improving enterprise efficiency thus transformational outsourcing places the ability to convey new capacities to the organization squarely in the hands of executives who have and value these capabilities. In other words, the outsourcing partner provides a management team that is experienced in the capability that the organization seeking change needs. Also, those executives are empowered by the outsourcing process to implement the practice they bring with them thus increasing organizational performance.

2.6.4 Tactical outsourcing on organizational performance

Tactical outsourcing is used when the organization wants to resolve specific problems being experienced by a firm that is a lack of financial resources to make capital investments, inadequate in-house managerial competence or a desire to downsize. According to Buchainan (2014) tactical outsourcing enables the firms to achieve faster product development, innovation, increased flexibility and enables the firms to focus on its core competences. With tactical outsourcing the organization retains oversight of the project giving it more time to have control over the process. This becomes helpful to the organization needs a project done on a short notice. Tactical outsourcing may increase organizational performance if the organization has a need for highly skilled developers in a specific technology that the organization does not normally do. A developer or personnel with the right skill set may be very difficult to locate thus going through a skilled

tactical partner can mean a turnaround and lower overhead than hiring internal resources. With tactical outsourcing the organization benefits from maintaining the planning process, including gathering requirements from stakeholders and designing the systems that developers will create. This increases management to have more control over the process and be more knowledge about the happenings.

Empirically, Grossman & Helpman (2005), in their article of outsourcing in the global community. Their article of tactical outsourcing can be used as a tool to solve various problems in the company, concerning in particular: insufficient funds, insufficient decision-making powers in the implementation of the tasks, lack of access to modern methods and equipment, and need to reduce employment which results in cost reduction thus improving the organization performance.

Tashale (2018), studied the perceived relationship between outsourcing and organisational performance, a case of Ethio telecom. The research objectives of the study were to show that there exists a relationship between outsourcing and overall improvement of organizational performance in Ethio telecom. To address this, the research focused on the relationship between outsourcing of selected services by Ethio telecom on the organization's cost efficiency, improved productivity, enhanced innovativeness and increased sales. The study found out that tactical outsourcing has an effect on operational cost through cost saving from reducing operational cost and improved resources management it also improves in productivity and innovation resulting due to employees' focus on core activities.

2.7 Chapter Summary

This section carried out a review of both theoretical and empirical literature that covered a wide spectrum of issues relating to outsourcing processes and corporate performance. Having critically reviewed related literature on the impact of outsourcing on corporate performance, we established that there is a need to research on how each and every stage in outsourcing improves corporate performance. The literature has established that past studies have focused on the impact of outsourcing on corporate performance, this study aims to review the importance of each process in outsourcing to corporate performance, and hence enlightening executives on which areas to invest in should they realize corporate performance. The next chapter will address the research methodology applied in this study.

CHAPTER III

RESEARCH METHODOLOGY

3.0 Introduction

This chapter presents the research methodology undertaken by the study. It outlines the research design, philosophical paradigms, describes the data collection instrument, defines and describes the target population, sampling, data sources, data analysis technique, research validity and reliability, ethical considerations and limitations. The justification for any methodology used is important in this chapter. The chapter ends with a chapter summary.

3.1 Research philosophy

The study adopted the positivist philosophy due to the fact that the study was quantitative in nature. The nature of this study topic is ideal for using this approach because of the constructs of the research hence can be measured effectively using quantitative methods. This research has a strong positivistic appeal. Positivism by its adoption of the hypothetical deductive approach seeks to identify, measure and evaluate any phenomenon and to provide rational explanation for it. This explanation attempts to establish causal links and relationships between the different elements or variables of the subject under study and relate them to particular theory or practice.

The rationale for this research approach lies in the fact that the main constructs in the study are measurable and have evolved from the body of theory. The study was evaluating the impact of outsourcing processes on corporate performance, which sought to explain the relationship that outsourcing processes has on corporate performance. As a result the quantitative (deductive) research approach was applicable in light of the research questions the study sought to address. Indeed as Teddle and Tashakkori (2009) put it, research philosophy and approach is secondary to and guided by the study research objectives and research questions.

3.2 Research Design

A research design is a conceptual blueprint within which a research is conducted, thus it is a preparation of the action plans, constituting the outline of the collection, measurement and analysis of data (Akhtar, 2016). There are seven research designs that the researcher may make use of when carrying out a research namely explanatory, experimental study, enthonology, case study design, action research, archival research and grounded theory design (Williams, 2007). The choice of a research design is influenced by many factors such as the methodology applied, approach proposed, philosophy ascribed and the availability of time and other resources needed to conduct the study efficiently.

This study adopted a quantitative research design. Quantitative research design entails the methods of measurement and the statistical, mathematical, or numerical analysis of data collected through questionnaires and surveys or by manipulating pre-existing statistical data using computation techniques. The researcher's choice of research design follows a number of aspects. Quantitative design approach allows the researcher to quantify data easily. The research design is compatible with research instruments like questionnaires and interviews which have the ability to collect huge amounts of data at a shorter period of time, which will make data easier to quantify. The research design is also compatible with a positivism philosophy which makes use of a deductive approach, hence quantitative research design has been considered to be the best to use in this study.

3.3 Target Population

The target population of this study consisted of senior executives and employees directly involved in outsourcing processes of the different construction companies. The research targeted the construction companies that are in Harare which are shown in table 3.1 as follows:

3.1 Target Population

Construction companies in Harare	Population
Kassavi Construction	60
Zada Contraction	50
Pat Dunn & Co	30
Masimba Construction	80
Dura world	55
Kardia Construction	60
Tovaka Construction	75
German Construction	45
Total	395

3.4 Sample Size

According to Scott and Vessey, (2015) sample size refers to selection of individuals from a target population of interest to make an estimation of the qualities of the population. Oliveira and Martins, (2011) pointed out that a large sample, not too big will produce information that is adequate for the research to be carried out but a sample that is too small may provide inadequate information. Brick and Wood, (2014) further explained that a sample population should be 30% or more of the target population. Table 3.2 shows the sample size of the study

Table 3.2 Sample Size

Construction companies in Harare	Population	Sample Size at 65%
Kassavi Construction	60	39
Zada Contraction	50	32
Pat Dunn & Co	30	20
Masimba Construction	80	52
Dura world	55	36
Kardia Construction	60	39
Tovaka Construction	75	46
German Construction	45	29
Total	395	257

In this study, a sample size that was sufficient enough to generate accurate results was 65% of the target population. Basing on Brick and Wood, (2014) a sample population should be 30% or more of the target population which may result in accurate results of the study.

3.5 Sampling Techniques

The researcher made use of two sampling techniques that are stratified random sampling and simple random sampling. In the first stage the researcher used stratified sampling to assign the sample into strata's with the use of proportionate stratification. On the second stage, simple random sampling was used to select the final sample. The researcher employed stratified probability sampling technique based on the outsourcing variables; after they were grouped simple random sampling was employed. With the simple random sampling, respondents were picked up randomly until the desired sample size was attained. The researcher administered questionnaires to senior executives and employees in the construction industry of the targeted population in Harare. Simple random sampling was employed because it gave all the respondents an equal chance of being chosen, a sample size used in this study was representative and as such can be generalized to the construction sector.

3.6 Research Instruments

Research instruments are tools used to collect data from the sampled population. According to Malhotra (2016), research instruments are tools used to collect, analyse and measure collected data. This study made use of self-administered questionnaires and interviews so that they complement each other reducing the effect of short fall of the other when used alone. According to Zull (2016), questionnaires are pre-formulated sets of written questions which respondents record their answers within closely defined alternatives (closed ended question) or in their own words (open ended questions). An interview is a structured conversation where an interviewer asks questions and the interviewee provides answers (Malhotra, 2016).

In this study the researcher made use of self-administered questionnaires and interviews so as to complement each other and reduced the shortfall of each instrument if used on its own. The researcher used both open and closed ended questions which made the respondents answer within closely defined alternatives or in their own words. The questionnaires included the Likert1 scale to ask the extent to which the respondents strongly agree or strongly disagree with the predefined

questions. The interview questions were pre-formulated that was meant for the senior executives in the study. The study adopted interviews because they collect richer sources of information from a small number of people and help to explain, better understand, and explore research subjects' opinions, behaviour, experiences, and phenomenon. Questionnaires provide a relatively cheap, quick and efficient way of obtaining large amounts of information from a large sample of people. Data can be collected relatively quickly because the researcher did not need to be present when the questionnaires were completed.

3.7 Data Sources

According to Kachera (2011), data sources are devices that are used to measure data which was collected. The researcher made use of both primary and secondary data sources. According to Ajayi (2017), primary data is one which is collected for the first time by the researcher while secondary data is the data already collected or produced by others. Examples of primary data sources used by the research are questionnaire and personal interview; on the other contrary, secondary data collection sources used in the study are publications, websites, books, journal articles and internal records of the construction companies. Secondary data was used in the research introduction and literature review part of the study, whilst primary data was used for research discussion, presentation and analysis.

3.8 Data Collection Procedures

Both primary and secondary data were used in the study to collect data. There are various tools for data collection but the ones that were used in this study include questionnaires and interviews. Both closed ended questions and interview guides were used in collecting primary data. The researcher made use of the drop and pick approach in the collection of primary data where the researcher dropped the questionnaires to respondents and picked them after a certain time interval. Interview appointments were made at different dates depending on the availability of the senior executives, thus the researcher made appointments at the different dates agreed with the senior executives. The researcher made use of a letter from the university clearly stating the research purpose and kind request for the respondents to participate in the research study giving them assurance that the information provided was strictly for academic purposes and the information provided was to be withdrawn at the respondent's request.

3.9 Validity and Reliability

Validity and reliability of the research is important because it ensures that valid and reliable results are used in the study which gives accurate results. Valid and reliable data sources produce credible results that may help the construction sector in making effective decisions, thus the researcher made use of all the necessary steps to gather data and avoided by all means to collect irrelevant data which results in garbage in, garbage out.

3.9.1 Validity

According to Taherdoost (2016), validity of the study gives an explanation of how well the collected data covers the actual area of the research that is, basically, it intends to measure what is intended to be measured in the research. The researcher ensured that the research included an element of validity by a two method procedure that is a pilot study and the use of primary data (questionnaires and interviews). The researcher firstly carried a pilot testing to a small group of executives and employees in the construction sector that had characteristics possessed by the research subjects of the study. The researcher noted some corrections and adjustments which were needed to be done on the questionnaires and interviews. However the corrections were done successfully so as to collect rich, valid and reliable data in the final study. In addition to that the research made sure that the questionnaires did not include the use of ambiguous or double-barrelled questions. Straight forward questions were used to ensure that all respondents have a better understanding of the questions asked. After the researcher was satisfied that the data collection tools were effective, the questionnaires and interview were administered and conducted to the target population assuring them of respondent's privacy. Necessary follow ups were made to receive the questionnaires in time. The use of two research instruments in the data collection process also enabled the researcher to validate the research findings.

3.9.2 Reliability

Mahajan (2017), argued that reliability of the study refers to the repeatability of the finding if the study was done for the second or third time, the study has to produce the same results. If the study yields the same results, the study is said to be reliable. Reliability is about consistency of the research instruments to generate the same responses under the same conditions. In order for the study to incorporate the aspects of reliability the researcher made use of the triangulation method

by the use of two research instruments. Semi-structured questionnaires and interviews were used to complement each other to counter the effect of weakness of the other. Questionnaires were administered bias free due to the fact that the researcher carried a pilot study before the actual questionnaires were administered. Interviews were also used which allowed the respondents to explain further areas that needed clarity which the questionnaires cannot be able to further explore.

3.10 Pilot study

For the research to incorporate the aspects of validity and reliability of the study, the researcher conducted a pilot study. A pilot study entails a pre-test of the research instruments in a pilot survey. According to Ismail et al. (2017), defines a pilot study as a small scale research project that is conducted before the final full scale project is conducted. The pilot study targeted a small group of executives and employees of non-included construction companies that are not part of the population under study. The main purpose of the pilot study is to check if the study will produce the desired results and if the research instruments incorporate an element of reliability and validity.

3.11 Ethical Consideration

According to Henn, Weinstein and Foard (2009) ethics have close relationships to moral choices affecting decisions, standards and behavior. According to Fouka and Mantzorou (2011) the major ethical issues to be considered in research include informed consent, beneficence, respect of anonymity and confidentiality and respect of privacy. Free and informed consent according to Henn, Weinstein and Foard (2009) underpins that the researcher must explain the nature and objectives of the research such that the participant uses his/her judgement on the deemed benefits to participate in the research voluntarily and willingly. In this research this was properly explained and highlighted in the introductory letter. The researcher ensured that no-one was prejudiced or affected negatively during the research process. There was respect to the ethical issues of autonomy, confidentiality and beneficence.

In this research all the necessary permissions and requests were made. Most important of all the privacy of the participants was closely guarded. No force was used to ensure participation and it was clearly communicated that the research was strictly for academic purposes and this was adhered to in the research process. The privacy of the participants was of importance and the study

was anonymous as the respondents were strictly advised not to write their names on the questionnaire. Communication was done clearly to participants to assure them the reasons and importance of this study.

3.12 Data Presentation and Analysis

According to Sunders (2012), defines data analysis as a systematic approach of cutting down or condensing of accumulated data into usable quantities. Data analysis involves the summarizing of collected data, outlining the patterns of the results by using a statistical tool with the aim of identifying useful information that the researcher uses to gather results (Manoj, 2006). Bryman (2015) explains that data presentation encompasses statistical methods of data presentation by means of tables and graphs. According to Malhotra (2016) data presentation has to be done in a way that will communicate information in a reasonable manner.

The researcher made use of tables and graphs in the presentation of data. Pie-charts and bar graphs were used to present data in the most clear and simpler way. According to Bavdekar (2015) graphs are used in research for presenting outcomes, relationships and trends of the study which assists the reader in understanding and remembering the data better. Tables present data in an organized style and fashion which makes it easier and simple to understand.

Data analysis used the SPSS software to analyze the results. In addition to that, tables and graphs assisted the researcher to interpret the data. Since the research is quantitative in nature the data was analyzed using the multivariate regression analysis which measures the strength of association or relationship of two variables.

3.13 Chapter Summary

The chapter clearly outlined the methods that were applied in this researcher work. A quantitative methodology and deductive approach were employed and these made the study to ascribe to the positive philosophy. A quantitative research design was adopted considering its compatibility with the quantitative methodology, deductive approach and positivist philosophy employed. With the limited time the researcher adopted the self-administered questionnaires and semi structured interviews as research instruments. Primary data was used and collected through the use of

questionnaires that were administered to 257 sample size respondents drawn from the construction sector executives and employees who were selected using stratified and random sampling.

CHAPTER IV

DATA PRESENTATION, ANALYSIS AND DISCUSSION

4.1 Chapter Introduction

This chapter focuses on data presentation, discussion and analysis of the results obtained in the field. The data is presented in the form of tables and analyzed using both descriptive and inferential statistics. Descriptive statistics is used to analyze responses in the questionnaires using the mean, standard deviation and variance. The relationship between the variables is analyzed using the Pearson Chi-square test to find the linear correlation between the variables. The data is analyzed using SPSS V 26. The discussion aims to answer the research questions and hypotheses in Chapter I.

4.2 Questionnaire Response Rate

The researcher used stratified random sampling which targeted 312 research participants. The researcher managed to deliver 296 questionnaires to the selected construction employees and 16 interviews (2 per each construction company) were scheduled for the senior executives of the construction companies. Of the 296 questionnaires administered, 290 questionnaires were successfully returned and of the 12 interviews scheduled with the senior executives, 10 were successful. Table 4.1 and 4.2 shows the questionnaire and the interview response rate respectively of the study:

Table 4.1 Questionnaire response rate

Administered Questionnaires	Collected	Response Rate
296	290	98%

Table 4.2 Interview Response Rate

Scheduled Interviews	Conducted Interviews	Response Rate
12	10	83%

Source: Primary Data (2020)

Table 4.1 and 4.2 shows the questionnaire response rate and the interview response rate respectively. From the administered questionnaires a response rate of 98% was obtained; and from the conducted interviews a response rate of 83% was obtained. According to Wilson (2010), an overall response rate which is between 65% to 75% or more is sufficient enough to generalize the results of the entire population. The researcher managed to collect an overall of 98% in questionnaires and 83% on interviews, by basing with Wilson (2010) the results obtained from questionnaires and interviews is sufficient enough to validate the results of the study.

4.3 Gender of the Respondents

The respondents were asked to specify their gender on the questionnaires so as to know if the study employed gender equity and gender balance, so that the results that are to be produced will not incorporate an element of gender bias and the results will apply to all genders. Fig 4.1 shows the gender of the respondents.

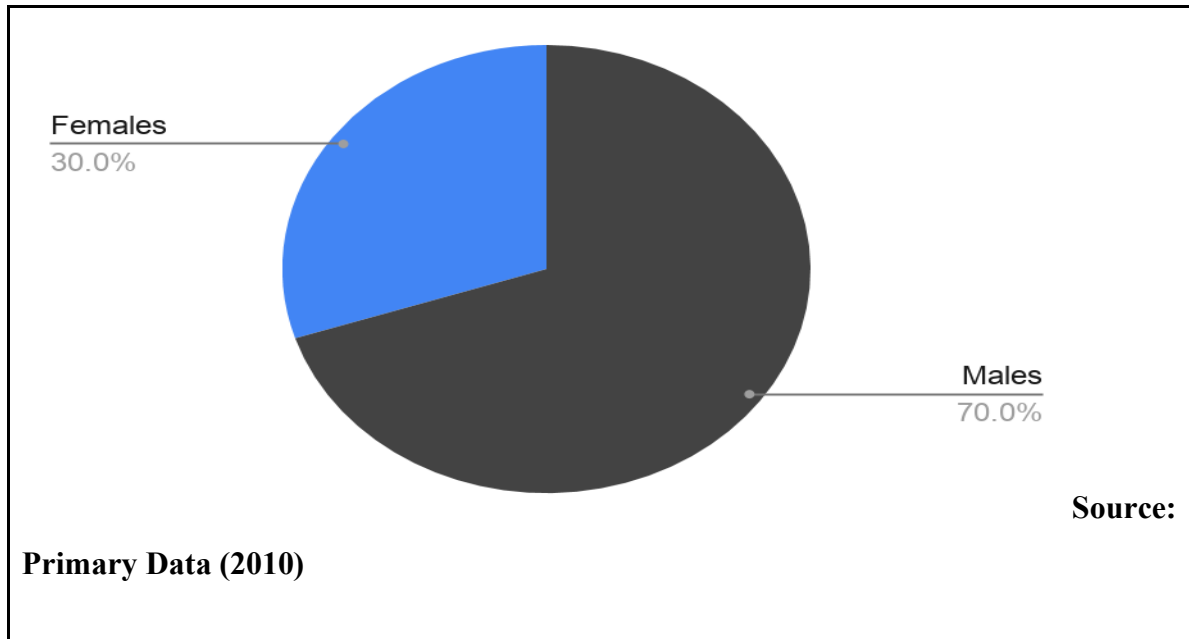


Fig 4.1 Gender of the Respondents

Fig 4.1 shows that of the 312 questionnaires and interviews conducted, 70% of the respondents were males and 30% of them are females. From the statistics this shows that males dominated more in the study than females, this is maybe because the study is dealing with the construction industry, thus the industry is male dominated, however those females included in the study will make the study to be gender balanced.

4.4 Age of Respondents

The respondents were asked to specify their age so as to know the age range of the respondents. It is said that a matured population or research participants will produce accurate results in the sense that they have a higher level of maturity. Table 4.2 shows the age range of respondents.

Table 4.2 Age Range of Respondents

Age Range	Frequency	Percentage
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21-31 years	25	8%
31-41 years	95	32%
41-50 years	100	33%
>50 years	80	27%
Total	300	100%

Source: Primary Data (2020)

Table 4.2 shows the age range of respondents that were incorporated in the study, most of the respondents in the study were of the range of 31-51 years. This therefore means that the study included matured individuals, who are able to provide valid and reliable data for the study.

4.5 Level of Education

The respondents were asked to specify the level of education. Table 4.3 shows the level of education of respondents.

Table 4.3 Level of education

Level Of Education	Frequency	Percentage
Diploma	50	17%

Degree	183	61%
Masters	15	5%
PhD	2	0.67%
Others	50	17%
Total	300	100%

Source: Primary Data (2020)

Table 4.3 shows the level of education of the research respondents, the table reviews that degree holders constitute most of the respondents with 61%, followed by Diploma and others who hold other qualifications with 17% each. Masters and PhD level constitute the least percentages with 5% and 0.67% respectively. This therefore shows that the respondents were educated and literate which suggests that the respondents understood the questionnaires and valid and correct answers were given which makes the results reliable and correct.

4.6 Current Department

The respondents were asked to specify the current department that they are currently working in, this provided the knowledge of the particular department that is whether the department has currently adopted an outsourcing decision or if they have adopted the outsourcing decision which type of the outsourcing decision is it. The information concerning the type of department that the employee is working gives department specific information. Table 4.4 shows the department that the employees are currently working in below.

Table 4.4 Department Currently Working

Department	Frequency	Percentage
Operations	67	22%
Human Resources	39	13%
Finance	40	13%
Logistics	75	25%
Production and Maintenance	79	26%
Total	300	100%

Source: Primary Data (2020)

Table 4.4 shows the department that the respondents are currently working in. Most of the respondents work in the production and maintenance departments which constituted 26% of the respondents followed by the operations department which constitute 22% of the respondents. The logistic department constituted 25% of the respondent followed by the human resources and finance departments which constituted 13% and 13% respectively. The respondents were evenly distributed across departments which provided the study with much needed department related information which made the results of the study to be rich since information of all departments is incorporated.

4.7 Number of Years Working in the Organization

The respondents were asked to specify the number of years that they have been working in the organization. The number of years that the employees worked in the organization was useful to the study results because if the employee has worked for a higher number of years, the employee will have experience in the industry which will result in valid and reliable information being obtained. This provides useful and rich data to be obtained for the research which will provide accurate data to be obtained. Table 4.5 shows the number of years that the employees have worked in the organization.

Table 4.5 Number of years working in the organization

Years	Frequency	Percentage
Less than 1 year	40	13%
1-5 years	120	40%
6-10 years	88	29%
Above 10 years	52	17%
Total	300	100%

Source: Primary Data (2020)

Table 4.5 shows the number of years that the employees have worked in the organization. From the findings, most of the respondents worked for the period of 1 to 5 years with a percentage frequency of 40%. In addition, 17% of employees have worked in the industry for more than 10 years whilst 13% of the respondents have worked for less than a year. This therefore means that the respondents have adequate knowledge of the industry under study, thus reliable and valid information was obtained.

4.8 Outsourcing Decision

The respondents were asked if their organization has adopted any outsourcing decision and if yes a follow up question was asked to the respondents to indicate the driver for adopting the outsourcing decision in the organization. The question was asked so as to know if the construction companies understudy have adopted the outsourcing decisions and if they have adopted the outsourcing decision what was the main driver for adopting the decision. Table 4.8 shows the adoption rate of the outsourcing decision and Table 4.9 shows the drivers of the outsourcing decision that the respondents indicated.

Table 4.8 Adoption rate of the outsourcing decision

Have the organization adopted the outsourcing decision	Frequency	Percentage
Yes	283	94%
No	17	5%
Total	300	100%

Source: Primary Data (2020)

Table 4.8 shows the adoption rate of outsourcing decision of the construction companies understudy. From the research respondents, 94% of them agreed that their organizations have adopted an outsourcing decision whilst 5% of the respondents disagreed that their organization has adopted any outsourcing decision. This therefore means that the results that will be obtained from the study will be valid since the study dealt with firms that had already adopted the outsourcing decision thus ensures validity of the results.

A follow up question was asked both in the questionnaires and interviews in order for the respondents to specify the drivers for the organization to adopt the outsourcing decisions. Table 4.9 shows the drivers for outsourcing decisions.

Table 4.9 Drivers for the outsourcing decision

Drivers	Frequency	Percentage
Organizational Drivers	113	38%
Improvement Drivers	55	18%
Financial and Cost Drivers	50	17%
Revenue Drivers	75	25%
Total	300	100%

Source: Primary Data (2020)

Table 4.9 shows the drivers of the outsourcing decision that the organization considered before adopting the decision to outsource. Most of the respondents argued that their organization adopted the outsourcing decision because of organizational drivers which obtained a percentage frequency of 38 %. This therefore means that most of the construction companies are adopting the outsourcing decision so as to focus on their core business, increase flexibility to deal with ever changing business conditions, demand for products and services, leveraging emerging technologies and achieving higher stakeholder value. Other respondents are of the opinion that their organization is adopting the outsourcing decisions because of revenue drivers which constituted a percentage frequency of 25%. The organization adopts outsourcing decisions because revenue drivers seek to achieve aggressive growth by increasing market share by leveraging on the service providers best in the class processes, capacity and system.

Other respondents were of the opinion that their organization adopted the outsourcing decision because of improvement drivers and financial cost drivers which constituted 18% and 16% respectively. The organization that adopts the outsourcing decision because of improvement drivers seeks to improve the overall operating performance by obtaining expertise, skills and technologies, improving management and control, improve risk management practices, acquire innovative ideas, improve credibility and image by associating with superior providers. Whilst those organizations that adopt outsourcing decisions because of financial and cost drivers seek to

reduce investment in assets, free-up resources for other purposes, and generate cash by transferring assets to the service provider (Ghodeswar and Vaidyanathan, 2008).

4.9 Descriptive Statistics

The researcher computed descriptive statistics for each of the research constructs of the collected data in order to statistically assess the impact of the outsourcing processes on corporate performance in the construction industry.

4.10 The impact of strategic outsourcing on corporate performance

The respondents were asked to indicate the extent to which they agree that strategic outsourcing has an impact on corporate performance. Descriptive statistics relating to strategic outsourcing and corporate performance were computed and are shown in Table 4.10 below

Table 4.10 Strategic outsourcing and Corporate performance

	N	Mean	Std. Deviation	Variance
Partnering the company strategic business unit increases the firms performance	300	4.6552	.45220	.566

A company is able to achieve its strategic key business objectives by implementing strategic outsourcing	300	4.620 7	.48605	.236
The company is able to focus on its key business objectives whilst imposing strict quality controls on outsourced department	300	4.793 1	.40578	.165
Strategic outsourcing involves involving the outsourcer in the company long term strategies, which increase the corporate performance	300	4.820 7	.38428	.148
Strategic outsourcing maximize on the yield from internal resources by concentrating investments and efforts on what the firm does best (core competencies)	300	4.924 1	.26523	.070
Strategic outsourcing protects the competitive advantages of the company by developing and strengthening the core competencies and building barriers against present or future competitors who might try to enter the firms areas of interest	300	4.751 7	.43276	.187
Strategic outsourcing also provides incentives to investments in the outsourcer's technology and know-how, their innovation and skills, and their specialized activities, which the outsourcer can maintain in-house only through continual investment and innovation.	300	4.617 2	.48690	.237
Valid N (list wise)	300			

Source: SPSS v 2

The respondents were asked if partnering the company strategic business unit increases the firm's performance. A mean of 4.6552 was obtained with a standard deviation of .45220 and a variance of 0.244 was obtained. This therefore means that the respondents agreed to the statement that a company partnering its strategic business unit increases the firm's performance. The result is validated by a lower concentration of data to the mean (standard deviation) of and a lower variance. This therefore means that if a company partners its strategic business unit it is able to increase the

firms performance in the sense that the company gives the third party the entire planning and development process thereby leaving the company free to focus more on the core business.

The researcher further asked the respondents if the company is able to achieve its strategic key business objectives by implementing strategic outsourcing. A mean of 4.6207 standard deviation of 0.48605 and variance of 0.236 was obtained. This therefore means that the respondents agreed that strategic outsourcing increases corporate performance since the company is able to achieve its key business objectives. The result is backed by a lower standard deviation and a lower variance which shows a lower variability to the mean. This therefore means that the company is able to achieve its strategic key business objectives since the company focuses more on strategic objectives giving up involvement and supervision of the outsourced activities thereby freeing up time for other business objectives. This is in support with Wilson (2005), who argued that strategic outsourcing's main assumptions of its implementation is to give the management the ability to focus on core activities and gives the management the ability to focus more on other business objectives.

The respondents were asked if the company is able to focus on its key business objectives whilst imposing strict quality controls on the outsourced department. A mean of 4.8207, a standard deviation of 0.38428 and a variance of 0.148 was obtained. This therefore means that the respondents agreed with the statement validated by a lower standard deviation and a lower variance. The results means that the respondents believes that if a company outsources its processes the business is able to focus on its key business objectives whilst it imposes strict quality controls on the outsourced process. Phumula (2016) is in agreement with the result when the author cited an example of Coca-Cola which decided to outsource its bottling processes, which managed to impose strict quality controls to the independent bottlers, whilst giving the company enough time to focus on its core business objectives.

The respondents were further asked to rate on the Likert if the process of involving the outsourcer in the long term strategies increases corporate performance. The researcher obtained a mean of 4.8207, a standard deviation of 0.38428 and a variance of 0.148. This therefore means that the respondents strongly agreed with the statement which is backed by a lower standard deviation and variance, validating the result. This means that the construction companies are able to focus on

their key business objectives whilst imposing strict quality controls on outsourced processes which increase corporate performance.

They respondents were asked if strategic outsourcing maximizes on the yield from internal resources by concentrating investment efforts on what the firm does best, that is the core competences of the firm. The researcher obtained a mean of 4.9241, a standard deviation of 0.26523 and a variance of 0.070. This therefore means that the respondents agreed with the statement which is backed by a lower standard deviation and variance. The result means that the construction companies are able to maximize the yield from internal resources by channelling resources, investment and efforts to the firm core competencies. The increase in concentration of resources in what the firm is good at results in the firm becoming the best in the class among similar firms. The results are similar to that of Quinn and Hilmer (1994: 43-55), who argued that strategic outsourcing has advantages in that companies that adopt maximize on the yield from internal resources by concentrating investments and efforts on what the firm does best (core competencies).

The researcher further asked the respondents if strategic outsourcing protects the competitive advantages of the company by developing and strengthening the core competencies and building barriers against present or future competitors who might try to enter the firm's areas of interest. The researcher obtained a mean of 4.7517, a standard deviation of 4.43276 and a variance of 0.187. This therefore means that the respondents agreed with the statement which is backed by a lower standard deviation and variance. This results means that if construction companies adopts strategic outsourcing, they are able to protect their competitive advantage by developing market barriers to entry through strengthening the core competencies thereby building customer loyalty and offering the best in class service at a lower price than competitors which will make it difficult also for competitors to enter the market since the competitors will be required to offers services that are more than the firms offer at a lower price , thereby creating a barrier to entry. The results are the same as of Quinn and Hilmer (1994), who argue that strategic outsourcing creates or protects the competitive advantages by developing and strengthening the core competencies and building barriers against present or future competitors that might try to enter the firm's areas of interest.

The researcher further asked the respondents if strategic outsourcing also provides incentives to investments in the out sorcerer's technology and know-how, their innovation and skills, and their specialized activities, which the outsourcer would have maintained in-house only through continual investment and innovation. The researcher obtained a mean of 4.6172, a standard deviation of 0.4869 and a variance of 0.237. This therefore means that the respondents strongly agreed with the statement which is backed by a lower standard deviation and variance. The results show that the construction companies agreed that strategic outsourcing is providing incentives to investments in the outsourcers technology knowhow , their innovation and skill which the company would have kept in house which requires continual investments thereby becoming expensive for the company.

According to the interviews data, the senior executives were asked if their organization has adopted the strategic outsourcing decision, if they have, has it increased corporate performance and what are the problems faced when implementing the strategic outsourcing decision. The interview data specified that strategic outsourcing has an advantage in that the business has to focus on their core competencies thereby strengthening those core competencies to become the best in the market. The senior executives specified that in strategic outsourcing the company is able to include the outsourced in the company long term strategies thereby providing incentives in that the organization relies on the outsourcers technology, know-how, innovation, skill and their specialized activities, thereby serving the companies resources to focus on their core competencies. However the interview data cite that if outsourcing is not properly implemented will bring about risks to this initiative such as lack of control on the quality of the products/ service provided by the suppliers, inability to meet fluctuations in demand for products or services that has been outsourced, loss of control over suppliers thus possibility of suppliers becoming a competitor for a firm themselves or assisting the firms competitor. It also results in a negative effect on employee morale, loss of critical skills or developing the wrong skills and loss of cross functional skills.

4.11 The impact of transformational outsourcing on corporate performance

The respondents were asked to indicate on the Likert scale the extent they agreed that transformational outsourcing has an impact on corporate performance. Descriptive statistics relating to transformational outsourcing and corporate performance computed are shown below in Table 4.10

Table 4.10 Transformational outsourcing and Corporate performance

	N	Mean	Std. Deviation	Variance
Does outsourcing business critical systems increase the corporate performance	300	4.0345	.4180	.542
Transformational outsourcing is effective in cost cutting of the firm	300	4.4690	.49990	.250
Transformational outsourcing involves a radical redesign of ways of implementation of outsourced tasks. Does this increase corporate performance	300	4.4276	.61408	.377
Transformational outsourcing involves rapid organizational change, launches new strategies and reshapes company boundaries. This increases corporate performance	300	4.0897	.46937	.220
Transformational outsourcing helps the organization to achieve new capabilities such as providing important sets of skills that are unavailable in the firm. This increases corporate performance.	300	4.8000	.40069	.161
Transformational outsourcing is commonly used to redefine the business, it enables an organization to retain leadership position, build sustainable competitive advantage and generate highest value for an organization. This increases corporate performance.	300	3.7276	.54385	.296
Valid N (list wise)	300			

Source: SPSS v 26

The respondents were asked if outsourcing business critical systems increases corporate performance. The researcher obtained a mean of 4.0345, a standard deviation of 0.4180 and a variance of 0.542. This therefore means that the respondents agreed with the statement which is validated by a lower standard deviation and variance that shows the concentration and variability of the data to the mean. The results means that the respondents agree that if a business outsources

its business critical processes, it may be able to increase its corporate performance, however the success of this initiative is dependent on the choice of the outsourcer and imposing strict controls on the outsourced processes. The results are in support with CFI (2019), who argued that under the new transformational outsourcing a service provider takes responsibility for business critical systems and services, clients combining several projects into one, large contract with a single supplier.

The respondents were further asked if transformational outsourcing is effective in cost cutting of the firm. The researcher obtained a mean of 4.469, a standard deviation of 0.4999 and a variance of 0.250. This therefore means that the respondents agreed that transformational outsourcing is effective in cost cutting of the firm since the main aim of the service provider involves the redesigning the business in line with the strategic objectives of the customers, cost optimization and reengineering which may enable the company to cut cost thereby increasing corporate performance.

The respondents were asked if a radical redesign of ways of implementation of outsourced tasks increase corporate performance. The researcher obtained a mean of 3.4276, a standard deviation of 0.6140 and a variance of 0.377. This therefore means that the respondents agreed in with the statement which is backed by a lower variance. This means that a radical redesign of ways of implementation of the outsourced task may lead to major improvements in the company's processes. Brown et al. (2005) is in support of the notion, he argued that transformational outsourcing's main emphasis is on performance of the company in which its primary goal is increasing the market value of the company. The role of the service provider involves redesigning the business in line with the strategic objectives of the customers and cost optimization and reengineering to facilitate the permanent increase in the market value of the company.

The respondents were asked if a rapid organizational change, launching new strategies and reshaping company boundaries increases corporate performance. The researcher obtained a mean of 4.0897, standard deviation of 4.6937 and a variance of 0.22. This therefore means that the respondents agreed with the statement which is validated by a lower standard deviation and variance obtained. This therefore means that a company that adopts transformational outsourcing

can achieve rapid organization change, through the outsourced company bringing in organizational change, new strategies and at times reshaping the companies boundaries which may increase corporate performance. This notion is supported by Linder (2015), who argues that companies that are implementing transformation outsourcing benefits from rapid organizational change, launch new strategies and reshape company boundaries which enables the company to achieve rapid, substantial and sustainable improvement in the enterprise performance.

The respondents were asked if transformational outsourcing helps the organization to achieve new capabilities such as providing important sets of skills that are unavailable in the firm which in turn increases corporate performance. A mean of 4.8, standard deviation of 0.40069 and a variance of 0.161 was obtained. This therefore means that the respondents agreed with the statement which is backed by a lower standard deviation and variance. The results means that transformational outsourcing helps the organization to achieve its capabilities bringing in a new set of skills that are unavailable in the organization which increase corporate performance since the skills are obtained for a lower cost.

The respondents were asked if transformational outsourcing is commonly used to redefine the business, enabling an organization to retain leadership position, build sustainable competitive advantage and generate highest value for an organization. A mean of 5.7276, a standard deviation 0.54385 and a variance of 0.296 was obtained. This therefore means that the respondents strongly agreed with the statement which is validated by a lower standard deviation and variance. This means that respondents are of the opinion that if the organization adopts transformation it helps in defining the business, it enables an organization to retain leadership position, build sustainable competitive advantage and generate highest value for the organization that increases corporate performance. The results are the same as that of Chebet and Kwasira (2016), who argued that transformational outsourcing is sustainable for businesses faced with increasing competition need to increase its flexibility to respond to the market needs and direct their skills and resources to high value added activities that they have competencies in.

According to the interview data, transformation outsourcing is the most developed form of cooperation with a service provider in outsourcing, if properly employed results in major improvements in the company processes and increasing the market value of the company. Senior executives are of the opinion that transformational outsourcing facilitates rapid organizational

change, launch new strategies and reshape company boundaries. Businesses faced with increasing competition need to increase its flexibility to respond to the market needs and direct their skills and resources to high value added activities that they have competencies in. The firms must then implement transformational outsourcing.

4.12 The impact of tactical outsourcing on corporate performance

The respondents were asked to indicate on the Likert scale the extent they agreed that tactical outsourcing has an impact on corporate performance. Descriptive statistics relating to tactical outsourcing and corporate performance are computed are shown below in Table 4.11

Table 4.12 Tactical outsourcing and Corporate performance

	N	Mean	Std. Deviation	Variance
Tactical is used to resolve specific problems being experienced by a firm which in turn increases corporate performance.	300	4.9483	.22185	.049
Tactical outsourcing results in visible benefits in the form of enhanced cash savings, minimizing the need for future investments and resolving staffing issues.	300	4.7828	.41308	.171
Tactical outsourcing enables firms to achieve faster product development, innovation, increased flexibility and enables the firms to focus on its core competences which increases corporate performance	300	4.6724	.56385	.318
Tactical Outsourcing helps the company with problems such as: insufficient funds, insufficient decision-making powers in the implementation of the tasks, lack of access to modern methods and equipment, and need to reduce employment which results in cost reduction thus improving the organization performance.	300	4.9069	.35532	.126
Tactical outsourcing is the use of outsourcing to bring about operational efficiencies in the organization which increases corporate performance.	300	4.8862	.31811	.101
Valid N (list wise)	300			

Source: SPSS v 26

The respondents were asked if tactical outsourcing is used to resolve specific problems being experienced by a firm which in turn increases corporate performance. A mean of 4.9483, a standard deviation of 0.22185 and a variance of 0.049 was obtained. This therefore means that the respondents agreed to the statement which is backed by a lower standard deviation and variance which shows higher concentration and variability to the mean. The results means that the respondents agree that tactical outsourcing can be used to resolve specific problems being faced in the organization which may disrupt the operations of the organization thus increasing corporate performance. Tactical outsourcing seeks to solve specific problems being faced in the organization such as lack of financial resources for upgrading the firm's operations, inadequate in house managerial competence or a desire to downsize, thus the main emphasis of tactical outsourcing is based on cost cutting.

The respondents were further asked if tactical outsourcing results in visible benefits in the form of enhanced cash savings, minimizing the need for future investment and resolving staffing issues. The researcher obtained a mean of 4.7828, a standard deviation of 0.41308 and a variance of 0.171. This therefore means the respondents agreed to the statement which is backed by a lower standard deviation and variance, which means a higher centration of data to the mean. The results means that if an organization adopts tactical outsourcing they benefit in the form of enhanced cash savings, minimizing the need for future investment and resolving staffing issues. Management Information Systems (2012), argued tactical outsourcing can be used as a tool to solve various problems in a company, concerning in particular, insufficient funds, insufficient decision making powers in the implementation of tasks, lack of access to modern methods and equipment and the need to reduce employment.

The researcher asked the respondents if tactical outsourcing enables a firm to achieve faster product development, innovation, increased flexibility and enables the firm to focus on their core competencies which increases corporate performance. A mean of 4.6724, a standard deviation of 5.6385 and a variance of 0.318 was obtained. This therefore means that the respondents agreed with the statement which is backed with a lower standard deviation and variance which shows a higher concentration to the mean. The results means that if the construction companies adopt tactical outsourcing they are able to achieve faster product development, innovation, increased flexibility that enables firms to focus more on their core competencies which increases corporate

performance. Buchainan (2014), supports this notion by arguing that tactical outsourcing enables the firms to achieve faster product development, innovation, increased flexibility and enables the firms to focus on its core competencies which retains oversight of the core project giving it more time to have control over it which is helpful to the organization which needs a project to be done on a short notice.

The researcher further asked the respondents if tactical outsourcing helps the company to solve problems related to insufficient funds, insufficient decision-making powers in the implementation of the tasks, lack of access to modern methods and equipment, and the need to reduce employment which results in cost reduction thus improving the organization performance. A mean of 4.9067, a standard deviation of 0.35532 and a variance of 0.126 was obtained. This therefore means the respondents agreed with the statement which is backed by a lower standard deviation and variance which shows a higher concentration of data to the mean. The results means that if a company is faced with problems related to insufficient funds, insufficient decision-making powers in the implementation of the tasks, lack of access to modern methods and equipment, and need to reduce employment cost have to consider implementing tactical outsourcing so as to adequately cut cost in the organization. Grossman & Helpman (2005), supports this notion by stating that tactical outsourcing is used as a cost cutting mechanism in the organization.

The researcher further asked the respondents if tactical outsourcing brings about operational efficiencies in the organization which increases corporate performance. The researcher obtained a mean of 4.8862, a standard deviation of 0.31811 and a variance of 0.101. This therefore means that the respondents agreed to the statement which is backed by lower standard deviation and variance which means a higher variation of the data to the mean. The results mean that a company that has employed tactical outsourcing enjoys operational efficiencies in the organization that increases corporate performance.

According to the interview data, tactical outsourcing helps the organization to solve specific problems being faced in the organization for example a lack of financial resources, inadequate managerial competencies or it involves engaging an external supplier who will have a fixed routine and sometimes a reactive approach to purchasing material and supplies using quick quote and order processes to support the production operations of the firm. According to the interview information, tactical outsourcing is treated as a tool to solve various problems and most of the companies use

tactical outsourcing as a tool for restructuring the company and its main objectives are to reduce cost, eliminate the need for investment in resources used in the processes transferred to the service provider and reduce the number of employees. For tactical outsourcing to be successful, this strategic model implies doing business with the best supplier among the integrated supplies in order to do business in the best possible way.

4.13 Inferential statistics and hypothesis testing

The researcher performed a Pearson correlation coefficient analysis to determine the impact of outsourcing processes variables that include strategic outsourcing, transformational outsourcing and tactical outsourcing on corporate performance. The Pearson correlation measures the linear correlation between two variables, thus the study will test the proposed hypothesis in chapter 1 to test their collinearity. The Pearson results have values between +1 and -1, where 1 is a positive linear correlation, 0 is no linear correlation and -1 is a total negative linear correlation.

4.13.1 Hypothesis 1

H1: There is a statically significant relationship between strategic outsourcing and corporate performance

The researcher ought to establish the relationship between strategic outsourcing and corporate performance. Table 4.13 shows the results from the Pearson correlation test done on the variables.

Table 4.13 Relationship between strategic outsourcing and corporate performance

Corporate Performance	Strategic Outsourcing
-----------------------	-----------------------

Pearson Correlation	Strategic Outsourcing	1.000	.163**
	Corporate Performance	.163**	1.000
Sig. (2-tailed)	Strategic Outsourcing	.	.003
	Corporate Performance	.003	.
N	Strategic Outsourcing	300	300
	Corporate Performance	300	300

**** Correlation is significant at 0.05**

Table 4.13 shows the results from the Pearson Chi-squared test. A correlation of 0.163 was obtained from the results between strategic outsourcing and corporate performance. This therefore means that there is a positive linear correlation between the variables. If the organization implements strategic outsourcing, the more the organization increases the outsourcing variables, so does corporate performance increase. Thus the researcher rejects the null hypothesis and accepts the alternative hypothesis. An organization adopting strategic outsourcing concentrates on core competencies that the organization has and considers outsourcing its non-core activities which enables the firm to concentrate on what they are good at thereby increasing corporate performance. The results are the same as that of Kamanga and Ismail (2016), who found a significant strong positive relationship between strategic outsourcing and corporate performance in the manufacturing industry.

4.14 Hypothesis 2

H2: There is a statically significant relationship between transformational outsourcing and corporate performance

The researcher sought to establish the relationship between transformational outsourcing and corporate performance. Table 4.13 shows the results from the Pearson correlation test done on the variables.

Table 4.13 Relationship between strategic outsourcing and corporate performance

		Transformational outsourcing	Corporate performance
Pearson Correlation	Transformational Outsourcing	1.000	.513**
	Corporate Performance	.513**	1.000
Sig. (2-tailed)	Transformational Outsourcing	.	.024
	Corporate Performance	.024	.
N	Transformational Outsourcing	300	300
	Corporate Performance	300	300

**** Correlation is significant at 0.05**

Table 4.13 shows the results obtained from the Person Chi-squared test between transformational outsourcing and corporate performance. A correlation of 0.513 was obtained. This therefore means that there is a positive linear relationship between transformational outsourcing and corporate performance. The researcher rejects the null hypothesis and accepts the alternative hypothesis. From the results obtained it shows that by outsourcing business critical systems and facilitates rapid organizational change, reshapes the company's boundaries, enhances cost optimization and business reengineering which increases the firm's performance. The results are similar to that of Linder and Linger (2004) who argued that transformational outsourcing is a more effective way of increasing corporate performance than other change initiatives such as mergers and acquisitions, or joint ventures. The key issue is obtaining new capabilities, in undertaking internal initiatives, and is suitable for a company which has concluded that it lacks an important set of skills.

4.14 Hypothesis 3

H3: There is a statically significant relationship between tactical outsourcing and corporate performance

The researcher sought to establish the relationship between tactical outsourcing and corporate performance. Table 4.14 shows the results from the Pearson correlation test done on the variables.

Table 4.14 Relationship between tactical outsourcing and corporate performance

		Tactical Outsourcing	Corporate performance
Pearson Correlation	Tactical Outsourcing	1.000	.614**
	Corporate performance	.614**	1.000
Sig. (2-tailed)	Tactical Outsourcing	.	.033
	Corporate performance	.033	.
N	Tactical Outsourcing	300	300
	Corporate performance	300	300

**** Correlation is significant at 0.05**

Table 4.14 shows the relationship between tactical outsourcing and corporate performance tested using the Pearson chi-squared test. A correlation of 0.614 was obtained from the results gathered from 290 respondents. This therefore means there is a positive relationship between tactical outsourcing and corporate performance and this also means that when an organization adopts tactical outsourcing their corporate performance increases. Tactical outsourcing is used by organizations to resolve specific problems being experienced by a firm, for example a lack of financial resources to make capital investments, inadequate in-house managerial competence or a desire to downsize. According to Buchainan (2014) tactical outsourcing enables the firms to

achieve faster product development, innovation, increased flexibility and enables the firms to focus on its core competences which in turn leads to increased corporate performance.

4.12 Chapter Summary

This chapter provided an analysis and discussion of research findings. On the impact of outsourcing processes on corporate performance of the construction industry. The findings showed that out of the three independent variables that are strategic, transformation and tactical outsourcing, all of them have positive and significant correlation with corporate performance. The next chapter provides conclusions and recommendations of the study.

CHAPTER V

SUMMARY, CONCLUSIONS AND RECOMMENDATIONS

5.0 Introduction

This chapter provides the summary, conclusion and recommendation of the study. The first section outlines the summary of the study. The conclusion will be provided as per each objective of the study. Then follows the recommendations of the study.

5.1 Summary of the study

The construction companies have been facing notable challenges associated with high operating costs, management and monitoring issues, a large wage bill, bloated structures, failure to concentrate on the core function and mandate of the business, lack of skills set, declining revenues, loss of market share and quality issues. This has led to most organisations reducing workforce, downsize their operations, or re-evaluate and reprioritize through restructuring and paying more attention to their core competencies. This enabled firms to realise that not all of the business operations can be provided internally and therefore have to resort to outsourcing. The study focused on the evaluation of outsourcing on corporate performance in the construction industry. The different strategies that the study evaluated include strategic outsourcing, transformational outsourcing and tactical outsourcing which were evaluated against the performance of the construction companies. The study target population was construction companies and a total of 8 were incorporated in the study. The study made use of both primary and secondary data. The study used questionnaires and interviews to collect primary data. The study found out that strategic outsourcing has an impact on corporate performance. This is confirmed by an overall mean of 7 questions that were used to describe strategic outsourcing and corporate performance. An average of 4.0517 and a standard deviation of 0.2298 was established between the two variables. A Pearson correlation coefficient analysis showed that there is a positive relationship between the variables with a P Value of 0.163. The study sought to determine the impact of transformational outsourcing on corporate performance. The study found out that transformational outsourcing has a positive impact on corporate performance which is confirmed by an overall mean of 6 questions. An average mean of 4.2634 and standard deviation of 0.308 was established. A Pearson correlation

test obtained a P value of 0.513 which showed a positive correlation between transformational outsourcing and corporate performance. The study sought to determine the impact of tactical outsourcing on corporate performance. Overall, the respondents agreed that tactical outsourcing has a positive impact on corporate performance. This agreement was as a result of an overall mean of 5 questions that were asked to describe the different variables that relates to tactical outsourcing and corporate performance. An average mean of 4.83932 and a standard deviation of 0.3774 was established. A Pearson correlation test obtained a P value of 0.614 which showed a strong positive correlation between tactical outsourcing and corporate performance.

5.3 Conclusions

In line with the findings of this research study, the study concluded that:

5.3.1 The impact of strategic outsourcing on corporate performance

The study concludes that adoption of strategic outsourcing has an impact on corporate performance. Partnering the company with a strategic business unit enables it to achieve its strategic key business objectives since the company would have to focus more on strategic objectives giving up involvement and supervision of the outsourced activities thereby freeing up time for other business objectives. The business can focus more on its key business objectives whilst imposing strict quality controls on the outsourced department. Strategic outsourcing maximizes on the yield from internal resources by concentrating investment efforts on what the firm does best, that is the core competences of the firm. Strategic outsourcing protects the competitive advantages of the company by developing and strengthening the core competencies and building barriers against present or future competitors who might try to enter the firm's areas of interest. This conclusion is also in line with (2015), who argued that strategic outsourcing gives the management the ability to focus on core activities and companies that adopt maximize on the yield from internal resources by concentrating investments and efforts on what the firm does best (core competencies).

5.3.2 The impact of transformational outsourcing on corporate performance

The study concluded that transformational outsourcing has an impact on corporate performance. Outsourcing business critical systems increases corporate performance since is effective in cost cutting of the firm's operations since the main aim of the service provider involves the re-designing the business in line with the strategic objectives of the customers, cost optimization and reengineering which may enable the company to cut cost thereby increasing corporate performance. The radical redesign of ways of implementation of the outsourced task may lead to major improvements in the company's processes such as rapid organizational change, launching new strategies and reshaping company boundaries. Transformational outsourcing helps the organization to achieve new capabilities such as providing important sets of skills that are unavailable in the firm which in turn increases corporate performance. Corporates can also use transformational outsourcing to redefine the business, enabling an organization to retain leadership position, build sustainable competitive advantage and generate highest value for an organization.

5.3.3 The impact of tactical outsourcing on corporate performance

The study concluded that tactical outsourcing has an impact on corporate performance. Tactical outsourcing can be used to resolve specific problems being faced in the organization which may disrupt the operations of the organization thus increasing corporate performance. Tactical outsourcing results in visible benefits in the form of enhanced cash savings, minimizing the need for future investment and resolving staffing issues. It also enables firms to achieve faster product development, innovation, increased flexibility and enables the firm to focus on their core competencies which increases corporate performance.

Tactical outsourcing helps the company to solve problems related to insufficient funds, insufficient decision-making powers in the implementation of the tasks, lack of access to modern methods and equipment, and the need to reduce employment which results in cost reduction thus improving the organization performance. This conclusion are in line to those of Buchanan (2014), supports this notion by arguing that tactical outsourcing enables the firms to achieve faster product development, innovation, increased flexibility and enables the firms to focus on its core competencies which retains oversight of the core project giving it more time to have control over it which is helpful to the organization which needs a project to be done on a short notice.

5.4 Recommendations

In line with the study findings and conclusion that were drawn, the study made the following recommendations.

5.4.1 To the construction companies

To the firms in the construction industry, they have to implement the outsourcing decision depending on their objectives either short term or long-term decision. All the outsourcing decision discussed in the study have shown that they impact corporate performance positively thus the construction firms may implement the outsourcing decision as follows:

When the firm wants to invest internally in those business activities from which it derives a competitive advantage and outsources the necessary activities to the best-in-class providers. Essentially the firm would want to concentrate on its core competencies and actively considers outsourcing its non-core activities. The firm has to adopt a strategic outsourcing decision which involves partnering with a company that provides top-down services thus handling the entire planning and development processes, leaving the company free to focus more on the other aspects of the business.

When the firm wants a service provider to take responsibility for business-critical systems which is driven by the current economic environment and the need for cost cutting. Transformational outsourcing is the best to be implemented. It is a developed form of cooperation with a service provider in outsourcing, the services carried out by the provider involves the radical redesign of ways of implementation of outsourced tasks resulting in major improvements in the company processes. The business is redesigned in line with the strategic objectives of the customers and cost optimization and reengineering which is the primary focus to facilitate the permanent increase in the market value of the company which in turn leads to increase in corporate performance.

Lastly when a firm wants to resolve specific problems being experienced by a firm, for example a lack of financial resources to make capital investments, inadequate in-house managerial competence or a desire to downsize. Tactical outsourcing is the best form of outsourcing decision to implement. It results in visible benefits in the form of enhanced cash savings, minimizing the

need for future investments and resolving staffing issues. It involves execution of a business process following the existing rules. Tactical outsourcing can also extend to outsourcing peripheral activities enabling the management to acquire industry specific capabilities by partnering with a chosen vendor.

5.5 Areas of further studies

The study was limited to few construction companies Harare, a comparable study can be carried out using a different location considering that these construction companies may operate at different environmental settings and levels. The research will use the same controls to determine whether the results will be the same or in line with findings with that obtained by using a sample in the city of Harare.

The regression model is only capable of explaining a partial of the variation on the impact of outsourcing processes on corporate performance. A further research may be conducted to identify other variables which are not outsourcing processes and determine their impact on corporate performance.

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APPENDICES

APPENDICES 1: COVER LETTER



Dear Sir/Madam

I am a Bachelors of Business Management Degree student with the Midlands State University University. In order to complete my programme, I am required to carry out a research on: **IMPACT OF OUTSOURCING PROCESSES ON CORPORATE PERFORMANCE: THE CASE OF CONSTRUCTION INDUSTRY IN HARARE, ZIMBABWE**

I would be most grateful if you could spare some time to attend to this questionnaire and interviews. This questionnaire and interviews forms the primary data of the study and the researcher hopes to come up with discussion points and recommendations on the subject matter.

I would like to thank you in advance for sparing your valuable time, sharing information and participating / responding to the questions. Your responses will be treated in confidentiality.

Yours faithfully

Gerald Hlabiso

APPENDICES 2: QUESTIONNAIRE FOR EMPLOYEES IN CONSTRUCTION INDUSTRY

The researcher is BCOM student at Midlands State University carrying out a research on the topic that reads: Impact of outsourcing processes on corporate performance. This research is conducted in partial fulfilment of the Bachelors in Business Management Degree. You are kindly requested to complete each and every question frankly and honestly. The information you are providing will be treated in strictest of confidence and used for academic purposes only. Please do not indicate your name, signature or personal details anywhere on this paper. Your co-operation is greatly appreciated.

Instructions of completion of the questionnaire

- Please place a tick in the box where applicable
- Give additional information in the spaces provided where required
- Complete all sections of the questionnaire

Section A: General Information

May you please specify your gender?

Sex	Tick
Male	
Female	

May you please indicate you age?

Age	Tick
21-31 yrs	
31-41 yrs	
41-50 yrs	
>50 yrs	

May you please specify the highest level of education you have attained?

Level of Education	Tick
Diploma	
Degree	
Masters	
PhD	
Other	

For how long have you been working in this organisation?

Years	Ticks
Less than a year	
1-5	
6-10	
Above 10 years	

Which department do you work in?

Department	Tick
Operations	
Human Resources	
Finance	
Logistics	
Production and Maintenance	

Section B: Outsourcing

Have your organisation adopted any outsourcing decision?

	Tick
Yes	
No	

If Yes. May you please indicate the type of outsourcing that has been adopted by the organisation?

Type of outsourcing	Tick
Strategic Outsourcing	
Transformational Outsourcing	
Tactical Outsourcing	

What are the drivers for your organisation adopting the outsourcing decision?

Driver	Tick
Organisational drivers so as to focus on organisation core business.	
Improvement drivers so as to improve operating performance.	
Financial and cost drivers so as to increase investment in assets, thereby freeing up resources for other strategic purposes.	
Revenue drivers so as to achieve aggressive growth by increasing market share and leveraging on the service providers best in class processes.	

Section C: Strategic Outsourcing on corporate performance

Please rate on the scale of 1 to 5 the extent you agree or disagree to the following statements. Please use the following scale and tick appropriately

1-Strongly Agree 2-Agree 3-Nuetral 4-Strongly Disagree 5-Disagree

	1	2	3	4	5
Partnering the company strategic business unit increases the firm's performance.					
A company is able to achieve its strategic key business objectives by implementing strategic outsourcing.					
The company is able to focus on its key business objectives whilst imposing strict quality controls on outsourced department.					
Strategic outsourcing involves the outsourcer in the company long term strategies, which increase the corporate performance					
Strategic outsourcing maximize on the yield from internal resources by concentrating investments and efforts on what the firm does best (core competencies)					
Strategic outsourcing protects the competitive advantages of the company by developing and strengthening the core competencies and building barriers against present or future competitors who might try to enter the firms areas of interest					
Strategic outsourcing also provides incentives to investments in the outsourcer's technology and know-how, their innovation and skills, and their specialized activities, which the outsourcer can maintain in-house only through continual investment and innovation.					

Section D: Transformational Outsourcing

Please rate on the scale of 1 to 5 the extent you agree or disagree to the following statements. Please use the following scale and tick appropriately

1-Strongly Agree 2-Agree 3-Nuetral 4-Strongly Disagree 5-Disagree

	1	2	3	4	5
Does outsourcing business critical systems (e.g. IT outsourcing) increase the corporate performance?					
Transformational outsourcing is effective in cost cutting of the firm					
Transformational outsourcing involves a radical redesign of ways of implementation of outsourced task. This increases corporate performance.					

Transformational outsourcing involves rapid organizational change, launches new strategies and reshapes company boundaries. This increases corporate performance.					
Transformational outsourcing helps the organisation to achieve new capabilities such as providing important set of skills that are unavailable in the firm. This increases corporate performance.					
Transformational outsourcing is commonly used to redefine the business, it enables an organisation to retain leadership position, build sustainable competitive advantage and generate highest value for an organisation. This increases corporate performance.					

Section E: Tactical Outsourcing

Please rate on the scale of 1 to 5 the extent you agree or disagree to the following statements. Please use the following scale and tick appropriately

1-Strongly Agree 2-Agree 3-Neutral 4-Strongly Disagree 5-Disagree

	1	2	3	4	5
Tactical outsourcing is used to resolve specific problems being experienced by a firm which in turn increases corporate performance.					
Tactical outsourcing results in visible benefits in the form of enhanced cash savings, minimizing the need for future investments and resolving staffing issues.					
Tactical outsourcing enables firms to achieve faster product development, innovation, increased flexibility and enables the firms to focus on its core competences which increases corporate performance					
Tactical Outsourcing helps the company to problems such as: insufficient funds, insufficient decision-making powers in the implementation of the tasks, lack of access to modern methods and equipment, and need to reduce employment which results in cost reduction thus improving the organization performance.					
Tactical outsourcing is the use of outsourcing to bring about operational efficiencies in the organisation which increases corporate performance.					

Section F: Impact of outsourcing on corporate performance

Please rate on the scale of 1 to 5 the extent you agree or disagree to the following statements. Please use the following scale and tick appropriately

1-Strongly Agree 2-Agree 3-Neutral 4-Strongly Disagree 5-Disagree

	1	2	3	4	5
Strategic outsourcing has increased corporate performance					
Strategic outsourcing has not had any significant impact on corporate performance					
Transformational outsourcing has increased corporate performance					
Transformational outsourcing has not had any significant impact on corporate performance.					
Tactical outsourcing has increased corporate performance					
Tactical outsourcing has not had any significant impact on corporate performance.					

Tatenda, Siyabonga, Talumba

APPENDICES 3: INTERVIEW GUIDE FOR SENIOR EXECUTIVES IN THE CONSTRUCTION INDUSTRY

1. Which department do you work in and how many years have you been working in the organisation?
2. In your organisation have you adopted on any outsourcing decision?

3. What are the drivers for your organisation to decide to adopt the outsourcing decision?
4. Have your organisation adopted strategic outsourcing that is partnering with a company to run the firms strategic business unit e.g. Accounting.
5. If yes. Have the organisation been able to increase corporate performance by adopting strategic outsourcing?
6. Have the organisation faced any problems in adopting strategic outsourcing?
7. Have your organization adopted transformational outsourcing that is partnering with a service provider to take responsibility for business critical systems and services e.g. IT outsourcing
8. If yes. Have the organisation been able to increase corporate performance by adopting transformational outsourcing?
9. Have the organisation faced any problems in adopting transformational outsourcing?
10. Have your organization adopted tactical outsourcing that is partnering with a firm to resolve specific problems being experienced by a firm, lack of financial resources to make capital investments, inadequate in-house managerial competence or a desire to downsize ?
11. If yes. Have the organisation been able to increase corporate performance by adopting tactical outsourcing?
12. Have the organisation faced any problems in adopting tactical outsourcing?

Tatenda, Siyabonga, Talumba